



INDEPENDENT AUDITOR'S REPORT

To,
The Members of
BKM INDUSTRIES LIMITED

Report on the Audit of the Consolidated Financial Statements

OPINION

We have audited the accompanying Consolidated Financial Statements of BKM INDUSTRIES LIMITED ("the Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), which comprise the Balance Sheet as at 31st March, 2025, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Consolidated Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated Financial Statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Group as at 31st March, 2025, and its loss, total comprehensive loss, changes in equity and its cash flows for the year ended on that date.

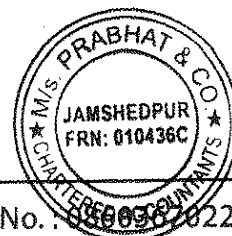
BASIS FOR OPINION

We conducted our audit of the Consolidated Financial Statements in accordance with the Standards on Auditing ("SAs") specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements.

EMPHASIS OF MATTER

We draw attention to the following matters in the Notes to the Consolidated Financial Statements:

(a) **Background – Resolution Plan.** The accompanying Consolidated Financial Statements have been prepared by the Management giving effect to the Resolution Plan submitted by Uniglobal Papers Private Limited, which was approved by the Hon'ble National Company Law Tribunal, Kolkata Bench ("NCLT") under Section 31 of the Insolvency and Bankruptcy Code, 2016 vide its order dated 19th September, 2023. The effect of the Resolution Plan, including the reduction and consolidation of equity share capital, the restructuring and derecognition of borrowings and other liabilities and the impairment/classification of assets, was given in the financial statements of the preceding year, and the comparative figures presented herein incorporate the same.



(b) Pending modification of the approved Scheme of Reduction and Consolidation of share capital. As more fully described in Note 13, upon invocation of the pledge by ICICI Bank Limited, 1,00,50,000 equity shares earlier classified under the Promoter category were reclassified as Public shareholding. Consequently, the consolidated shareholding would exceed the 12,35,261 equity shares approved by the Hon'ble Tribunal under the Scheme. The Holding Company's application seeking modification of the Scheme was rejected by the Hon'ble Tribunal on 27th March, 2025, and the Holding Company is in the process of filing a fresh application for the necessary approval. The paid-up equity share capital continues to be presented in the manner set out in the said Note, pending the final outcome of the matter.

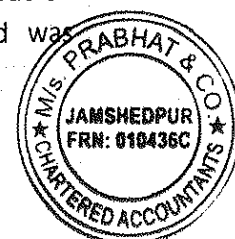
(c) Share application money and CCD application money pending allotment. As described in Note 14, during the year the Holding Company received ₹ 200.00 Lakhs towards subscription to equity shares and ₹ 300.00 Lakhs towards subscription to 10% Compulsorily Convertible Debentures from Anantech Infrastructure Private Limited (the Holding Company), aggregating ₹ 500.00 Lakhs, carried under Other Equity as "Application Money Received Pending Allotment". The allotment is linked to the modification of the approved Resolution Plan, the outcome of which is presently pending before the Hon'ble NCLT. In the event the proposed modification is not approved, the Holding Company may be required to refund the said amounts.

Our opinion is not modified in respect of these matters.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Financial Statements of the current period. These matters were addressed in the context of our audit of the Consolidated Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
1	Disposal of Property, Plant and Equipment classified as held for sale Refer Note 3 to the Consolidated Financial Statements. During the year, property, plant and equipment classified as held for sale aggregating ₹ 2,379.09 Lakhs were disposed of, with the carrying amount of assets held for sale reducing from ₹ 2,448.58 Lakhs to ₹ 69.49 Lakhs. A part of these assets was sold to a related party. The satisfaction of the held-for-sale criteria up to the date of disposal, the timing of derecognition, the measurement of consideration and the resultant gain/loss, and the arm's-length basis of the related-party disposal involved significant management judgment and	Our principal audit procedures included: - Evaluated whether the held-for-sale criteria under Ind AS 105 continued to be met up to the date of disposal and that depreciation had ceased on such assets; - Examined the sale agreements, approvals and the registered valuer's report relied upon by the Management, and verified the consideration and the resultant gain/loss on a test-check basis; - Verified that the disposal to the related party was carried out on an arm's-length basis and was



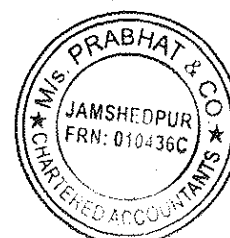
Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
	were, in our view, of most significance to the audit.	appropriately disclosed under Ind AS 24; and Assessed the adequacy of the related disclosures in the Consolidated Financial Statements.
2	Presentation of share application money and CCD application money pending allotment Refer Note 14 to the Consolidated Financial Statements. The Holding Company has received ₹ 500.00 Lakhs (₹ 200.00 Lakhs towards equity and ₹ 300.00 Lakhs towards 10% Compulsorily Convertible Debentures) from the Holding Company, carried as "Application Money Received Pending Allotment" under Other Equity. The classification of these amounts, the timing and certainty of allotment, and the consequential uncertainty arising from the pending application for modification of the approved Resolution Plan (which may require a refund) involved significant management judgment.	Our principal audit procedures included: - Obtained and read the underlying subscription arrangements and board resolutions, and traced the receipt of ₹ 500.00 Lakhs to bank statements; - Evaluated the Management's basis for presenting the amounts as application money pending allotment under Other Equity and the appropriateness thereof as at the reporting date; - Considered the terms governing refund in the event the modification of the Resolution Plan is not approved by the Hon'ble NCLT; and - Assessed the adequacy of the related disclosures in the Consolidated Financial Statements.

OTHER MATTER

The comparative financial information of the Holding Company for the year ended 31st March, 2024 included in these Consolidated Financial Statements was audited by the predecessor auditor, M/s Amit Kumar Surana & Company, Chartered Accountants (Firm Registration No. 332194E), whose report dated 30th May, 2024 expressed an unmodified opinion on those Consolidated Financial Statements. Our opinion on the Consolidated Financial Statements is not modified in respect of this matter.

OTHER INFORMATION

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the Consolidated Financial Statements and our Auditor's Report thereon.



Our opinion on the Consolidated Financial Statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

MANAGEMENT'S AND BOARD OF DIRECTORS' RESPONSIBILITY FOR THE STANDALONE FINANCIAL STATEMENTS

The Holding Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these Consolidated Financial Statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Group in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Holding Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Consolidated Financial Statements, the Management is responsible for assessing the Holding Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management either intends to liquidate the Holding Company or to cease operations, or has no realistic alternative but to do so.

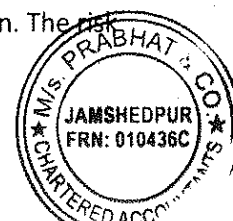
The Board of Directors is also responsible for overseeing the financial reporting process of the Holding Company.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE STANDALONE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk



of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.

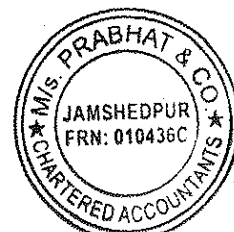
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to Consolidated Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the Consolidated Financial Statements made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Holding Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's Report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's Report. However, future events or conditions may cause the Holding Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in the aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Financial Statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

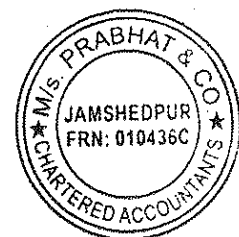
We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our Auditor's Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, based on our audit, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Holding Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.
 - (d) In our opinion, the aforesaid Consolidated Financial Statements comply with the Indian Accounting Standards prescribed under Section 133 of the Act.
 - (e) On the basis of the written representations received from the directors as on 31st March, 2025 and taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2025 from being appointed as a director in terms of Section 164(2) of the Act.
 - (f) With respect to the adequacy of the internal financial controls with reference to Consolidated Financial Statements of the Holding Company and the operating effectiveness of such controls, refer to our separate report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Holding Company's internal financial controls with reference to Consolidated Financial Statements.
 - (g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid/provided by the Holding Company to its directors during the year is in accordance with the provisions of Section 197 of the Act.
 - (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Holding Company does not have any pending litigation which would impact its financial position in its Consolidated Financial Statements, other than as disclosed in the Notes to the Consolidated Financial Statements.
 - ii. The Holding Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Holding Company.



- iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Holding Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Holding Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- (b) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Holding Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Holding Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- (c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. No dividend has been declared or paid by the Holding Company during the year. Accordingly, reporting on compliance with Section 123 of the Act is not applicable.
- vi. Based on our examination, which included test checks, the Holding Company has used accounting software systems for maintaining its books of account for the financial year ended 31st March, 2025 which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with. Additionally, the audit trail has been preserved by the Holding Company as per the statutory requirements for record retention.

For M/s. Prabhat & Co.

Chartered Accountants

Firm Registration No.: 010458C

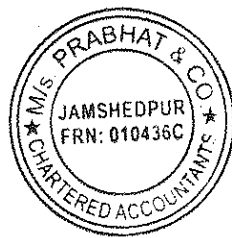


(CA. Prabhat Kumar Sekseria)

Proprietor

Place: Jamshedpur

Date: 30th May, 2025



Peer Review No - 19370

Membership No.: 400091

UDIN: 25400091BMONXV9907

ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in Paragraph 1 under "Report on Other Legal and Regulatory Requirements" section of our Report of even date on the Consolidated Financial Statements of BKM INDUSTRIES LIMITED for the year ended 31st March, 2025)

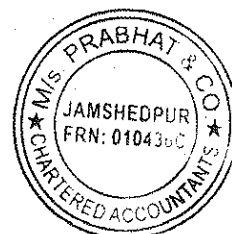
In terms of the information and explanations sought by us and given by the Holding Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

(i) Property, Plant and Equipment and Intangible Assets

- (a) (A) The Holding Company has maintained proper records showing full particulars, including quantitative details and situation, of Property, Plant and Equipment. (B) The Holding Company has maintained proper records showing full particulars of intangible assets.
- (b) The Holding Company has a regular programme of physical verification of its Property, Plant and Equipment, by which all property, plant and equipment are verified in a phased manner over a period of time. In accordance with this programme, certain Property, Plant and Equipment were verified during the year and no material discrepancies were noticed on such verification. In our opinion, the periodicity of physical verification is reasonable having regard to the size of the Holding Company and the nature of its assets.
- (c) Based on our audit procedures and the information and explanations given to us, the title deeds of all the immovable properties (other than properties where the Holding Company is the lessee and the lease agreements are duly executed in favour of the Holding Company) disclosed in the Consolidated Financial Statements are held in the name of the Holding Company.
- (d) The Holding Company has not revalued any of its Property, Plant and Equipment (including right-of-use assets) and intangible assets during the year.
- (e) There are no proceedings which have been initiated or are pending against the Holding Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.

(ii) Inventories and Working Capital Limits

- (a) The Management has conducted physical verification of inventory at reasonable intervals during the year. According to the information and explanations given to us and based on the audit procedures performed by us, the coverage and procedure of such verification by the Management is appropriate. The Holding Company did not hold any inventory as at 31st March, 2025 and accordingly no discrepancies of 10% or more in the aggregate for each class of inventory were noticed on physical verification.
- (b) According to the information and explanations given to us, the Holding Company has not been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets during the year. Accordingly, reporting on the agreement of quarterly returns or statements with the books of account is not applicable.



(iii) Investments, Loans, Guarantees and Securities

- (a) During the year, the Holding Company has granted loans/advances in the nature of loans aggregating ₹ 78.77 Lakhs (year-end balance ₹ 78.77 Lakhs). The Holding Company has not provided any guarantee or security to companies, firms, Limited Liability Partnerships or any other parties during the year. In our opinion, the terms and conditions of the loans granted are, prima facie, not prejudicial to the interest of the Holding Company.
- (b) In our opinion, the investments made and the terms and conditions of the loans granted are not, prima facie, prejudicial to the Holding Company's interest.
- (c) In respect of the loans granted, the schedule of repayment of principal and payment of interest, where stipulated, has been generally adhered to and the repayments/receipts are regular.
- (d) There is no overdue amount in respect of loans granted by the Holding Company remaining outstanding as at the balance sheet date.
- (e) No loan granted by the Holding Company which has fallen due during the year has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to the same parties.
- (f) The Holding Company has not granted any loans either repayable on demand or without specifying any terms or period of repayment during the year, except as may be disclosed in the Notes to the Consolidated Financial Statements.

(iv) Compliance with Sections 185 and 186

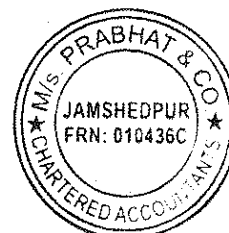
In our opinion and according to the information and explanations given to us, the Holding Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted, investments made and guarantees and securities provided, as applicable.

(v) Deposits

In our opinion and according to the information and explanations given to us, the Holding Company has not accepted any deposits or amounts which are deemed to be deposits within the meaning of Sections 73 to 76 of the Act and the Rules framed thereunder. The share application money and the application money towards Compulsorily Convertible Debentures aggregating ₹ 500.00 Lakhs received from the Holding Company, pending allotment as referred to in Note 14, are linked to the modification of the approved Resolution Plan; the compliance with the timelines under the Companies (Acceptance of Deposits) Rules, 2014 in respect thereof is being monitored by the Management pending the outcome of the application before the Hon'ble NCLT.

(vi) Maintenance of Cost Records

We have broadly reviewed the books of account maintained by the Holding Company pursuant to the Rules made by the Central Government for the maintenance of cost records under sub-section (1) of Section 148 of the Act and are of the opinion that, prima facie, the prescribed cost accounts and records have been made and maintained. We have, however, not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.



(vii) Statutory Dues

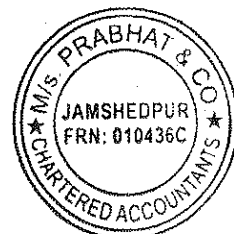
- (a) According to the information and explanations given to us and on the basis of our examination of the records of the Holding Company, amounts deducted/accrued in the books of account in respect of undisputed statutory dues including Goods and Services Tax, Provident Fund, Employees' State Insurance, Income-tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, Cess and other material statutory dues have generally been regularly deposited during the year by the Holding Company with the appropriate authorities, though there have been delays in a few cases. According to the information and explanations given to us, no undisputed amounts payable in respect of the aforesaid statutory dues were in arrears as at 31st March, 2025 for a period of more than six months from the date they became payable.
- (b) According to the information and explanations given to us, there are no dues of Goods and Services Tax, Income-tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, or Cess which have not been deposited with the appropriate authorities on account of any dispute.

(viii) Unrecorded Income

There were no transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961). Accordingly, the provisions of clause 3(viii) of the Order are not applicable.

(ix) Borrowings

- (a) In our opinion and according to the information and explanations given to us, the Holding Company has not defaulted in the repayment of loans or other borrowings or in the payment of interest thereon to any lender. The repayment obligations under the term loans which were restructured under the Resolution Plan approved by the Hon'ble NCLT vide order dated 19th September, 2023 have been serviced/discharged during the year in accordance with the terms of the approved Resolution Plan, and the current maturities of such long-term debt outstanding at the beginning of the year stand settled as at the reporting date. As at 31st March, 2025, the Holding Company carries unsecured borrowings from others aggregating ₹ 1,280.30 Lakhs classified as current borrowings.
- (b) According to the information and explanations given to us and on the basis of our audit procedures, the Holding Company has not been declared a willful defaulter by any bank or financial institution or government or any government authority.
- (c) In our opinion and according to the information and explanations given to us, the term loans were applied for the purposes for which the loans were obtained.
- (d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the Consolidated Financial Statements of the Holding Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Holding Company.
- (e) According to the information and explanations given to us and on an overall examination of the Consolidated Financial Statements of the Holding Company, we report that the Holding Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.



- (f) According to the information and explanations given to us and procedures performed by us, we report that the Holding Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.

(x) Initial Public Offer, Further Public Offer and Preferential Allotment

- (a) The Holding Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, reporting under clause 3(x)(a) of the Order is not applicable.
- (b) During the year, the Holding Company has received share application money of ₹ 200.00 Lakhs and application money of ₹ 300.00 Lakhs towards 10% Compulsorily Convertible Debentures from the Holding Company pursuant to the approved Resolution Plan, which are pending allotment as at the reporting date (Refer Note 14). As no allotment of shares or fully/partly convertible debentures has been made during the year, reporting on the requirements of clause 3(x)(b) of the Order in respect of such allotment does not arise as at the reporting date; the allotment, when made, will be subject to compliance with the applicable provisions of the Act.

(xi) Fraud and Whistle-Blower Complaints

- (a) Based on our examination of the books and records of the Holding Company and according to the information and explanations given to us, considering the principles of materiality outlined in the Standards on Auditing, no fraud by the Holding Company or on the Holding Company has been noticed or reported during the course of our audit.
- (b) During the year, no report under sub-section (12) of Section 143 of the Companies Act, 2013 has been filed in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014, with the Central Government by the auditors.
- (c) As represented to us by the Management, no whistle-blower complaints have been received by the Holding Company during the year.

(xii) Nidhi Company

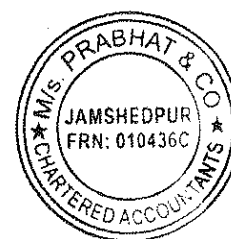
In our opinion and according to the information and explanations given to us, the Holding Company is not a Nidhi Company. Accordingly, the provisions of clause 3(xii) of the Order are not applicable to the Holding Company.

(xiii) Related Party Transactions

According to the information and explanations given to us and based on our examination of the records of the Holding Company, transactions with the related parties are in compliance with Sections 177 and 188 of the Act, where applicable, and the details of such transactions have been disclosed in the Consolidated Financial Statements as required by the applicable Indian Accounting Standards.

(xiv) Internal Audit System

- (a) In our opinion and based on our examination, the Holding Company has an internal audit system commensurate with the size and nature of its business.
- (b) We have considered the internal audit reports of the Holding Company issued till date for the period under audit.



(xv) Non-cash Transactions with Directors

According to the information and explanations given to us, in our opinion, during the year the Holding Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence the provisions of Section 192 of the Companies Act, 2013 are not applicable to the Holding Company.

(xvi) Registration under the Reserve Bank of India Act, 1934

- (a) In our opinion, the Holding Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) and (b) of the Order is not applicable.
- (b) The Holding Company is not a Core Investment Company ("CIC") as defined in the regulations made by the Reserve Bank of India. Accordingly, the provisions of clause 3(xvi)(c) of the Order are not applicable.
- (c) Based on the information and explanations provided by the Management, the Group does not have any CIC as part of the Group. Accordingly, the provisions of clause 3(xvi)(d) of the Order are not applicable.

(xvii) Cash Losses

The Holding Company has incurred cash losses of ₹ 217.25 Lakhs during the financial year covered by our audit and cash losses of ₹ 31.98 Lakhs in the immediately preceding financial year.

(xviii) Resignation of Statutory Auditors

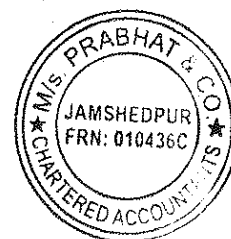
There has been no resignation of the statutory auditors of the Holding Company during the year. The previous year's Consolidated Financial Statements were audited by the predecessor auditor, M/s Amit Kumar Surana & Company, Chartered Accountants (Firm Registration No. 332194E), and we were appointed as the statutory auditors of the Holding Company for the year under report.

(xix) Material Uncertainty on Meeting Liabilities

According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the Consolidated Financial Statements, our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, and having regard to the Resolution Plan approved by the Hon'ble NCLT, we report that, nothing has come to our attention which causes us to believe that any material uncertainty exists as on the date of the audit report that the Holding Company is not capable of meeting its liabilities existing at the date of the balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Holding Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date will get discharged by the Holding Company as and when they fall due.

(xx) Corporate Social Responsibility ("CSR")

- (a) The provisions of Section 135 of the Companies Act, 2013 relating to Corporate Social Responsibility are not applicable to the Holding Company for the year. Accordingly, reporting under clause 3(xx)(a) of the Order is not applicable.



- (b) As the provisions of Section 135 are not applicable, reporting under clause 3(xx)(b) of the Order is also not applicable.

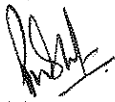
(xxi) Consolidated Financial Statements

Reporting under clause 3(xxi) of the Order is not applicable at the standalone level, as the comments by the respective auditors in their reports on the consolidated financial statements of the Holding Company, if any, are required to be reported there.

For M/s. Prabhat & Co.

Chartered Accountants

Firm Registration No.: 010458C

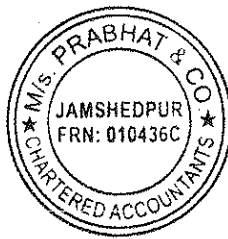


(CA. Prabhat Kumar Sekseria)

Proprietor

Place: Jamshedpur

Date: 30th May, 2025



Peer Review No - 19370

Membership No.: 400091

UDIN: 25400091BMONXV9907

ANNEXURE "B" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 2(f) under "Report on Other Legal and Regulatory Requirements" section of our Report of even date on the Consolidated Financial Statements of BKM INDUSTRIES LIMITED for the year ended 31st March, 2025)

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

OPINION

We have audited the internal financial controls with reference to Consolidated Financial Statements of BKM INDUSTRIES LIMITED ("the Holding Company") as of 31st March, 2025 in conjunction with our audit of the Consolidated Financial Statements of the Holding Company for the year ended on that date.

In our opinion, to the best of our information and according to the explanations given to us, the Holding Company has, in all material respects, an adequate internal financial controls system with reference to Consolidated Financial Statements and such internal financial controls with reference to Consolidated Financial Statements were operating effectively as at 31st March, 2025, based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

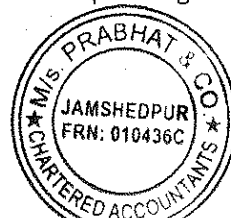
MANAGEMENT'S AND BOARD OF DIRECTORS' RESPONSIBILITY FOR INTERNAL FINANCIAL CONTROLS

The Holding Company's Management and Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Holding Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the Holding Company's internal financial controls with reference to Consolidated Financial Statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Consolidated Financial Statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to Consolidated Financial Statements and their operating



effectiveness. Our audit of internal financial controls with reference to Consolidated Financial Statements included obtaining an understanding of internal financial controls with reference to Consolidated Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Holding Company's internal financial controls system with reference to Consolidated Financial Statements.

MEANING OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO STANDALONE FINANCIAL STATEMENTS

A Company's internal financial controls with reference to Consolidated Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial controls with reference to Consolidated Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Holding Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Holding Company are being made only in accordance with authorisations of Management and Directors of the Holding Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Holding Company's assets that could have a material effect on the financial statements.

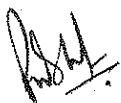
INHERENT LIMITATIONS OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO STANDALONE FINANCIAL STATEMENTS

Because of the inherent limitations of internal financial controls with reference to Consolidated Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Consolidated Financial Statements to future periods are subject to the risk that the internal financial controls with reference to Consolidated Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For M/s. Prabhat & Co.

Chartered Accountants

Firm Registration No.: 010458C

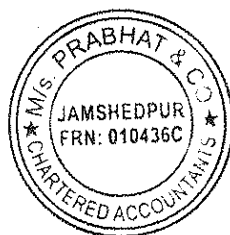


(CA. Prabhat Kumar Sekseria)

Proprietor

Place: Jamshedpur

Date: 30th May, 2025



Peer Review No - 19370

Membership No.: 400091

UDIN: 25400091BMONXV9907

Notes

Note 1-2

NOTE 1: CORPORATE INFORMATION

BKM Industries Limited ('the Holding Company') and its subsidiaries (together referred to as 'the Group') is a Public Limited Company engaged primarily in the business of manufacturing and supply of Aluminium and Steel bottle caps, 2-piece & 3-piece cans. The Group has manufacturing plants across India and is listed on the Bombay Stock Exchange Limited (BSE) and National Stock Exchange of India Limited (NSE). The Group's registered office is at 2A, Ganesh Chandra Avenue, 2nd Floor, Room No - 11, Kolkata, West Bengal, India, 700013.

NOTE 2: BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

A. Basis of Preparation

a. Statement of Compliance

The financial statement of the Group has been prepared to comply with Indian Accounting Standard including the rules notified under the relevant provisions of the Companies Act, 2013.

b. Functional and presentation currency

These financial statements are presented in Indian Rupees (₹), which is the Group's functional currency. All amounts have been rounded to the nearest lakh, unless otherwise indicated.

c. Basis of Measurement

These financial statements have been prepared on a historical cost convention basis, except for the following:

- i. Certain financial assets and liabilities that are measured at fair value.
- ii. Assets held for sale- Measured at the lower of (a) carrying amount and (b) fair value less cost to sell.
- iii. Net defined benefit plans- Plan assets measured at fair value less present value of defined benefit obligation.

Determining the Fair Value

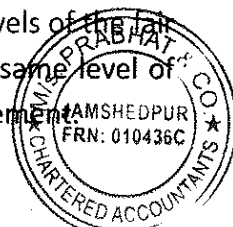
While measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.



d. Critical Accounting Judgements and Key Sources of Estimation Uncertainty

The preparation of the financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, expenses and disclosures of contingent assets and liabilities at the date of these financial statements and the reported amounts of revenues and expenses for the years presented.

These judgments and estimates are based on management's best knowledge of the relevant facts and circumstances, having regard to previous experience, but actual results may differ materially from the amounts included in the financial statements. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected. The information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are as given below:-

i. Impairment test of non financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Units (CGU) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent to those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

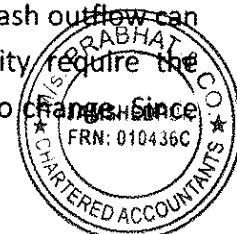
In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less cost of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

ii. Allowance for bad debts / expected credit loss

The Management makes estimates related to the recoverability of receivables, whose book values are adjusted through an allowance for Expected losses/ Provision for Doubtful debts. Management specifically analyses accounts receivable, customers' creditworthiness, current economic trends and changes in customer's collection terms when assessing the adequate allowance for Expected losses/ Provision for Doubtful debts, which are estimated over the lifetime of the debts.

iii. Recognition and measurement of Provisions and Contingencies

Provisions and liabilities are recognised in the year when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability require the application of judgement to existing facts and circumstances, which can be subject to change. Since



the cash outflows can take place many years in the future, the carrying amounts of provisions and liabilities are reviewed regularly and adjusted to take account of changing facts and circumstances.

Contingencies

In the normal course of business, contingent liabilities may arise from litigation, taxation and other claims against the Group. Where it is management's assessment that the outcome cannot be reliably quantified or is uncertain, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote. Such liabilities are disclosed in the notes but are not provided for in the financial statements. When considering the classification of legal or tax cases as probable, possible or remote, there is judgement involved. Although there can be no assurance regarding the final outcome of the legal proceedings, the Group does not expect them to have a materially adverse impact on the Group's financial position.

iv. Recognition of Deferred Tax Assets

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with business developments.

v. Measurements of Defined benefit obligations plan

The Cost of the defined benefit plan and other post-employment benefits and the present value of such obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and attrition rate.

vi. Impairment of financial assets

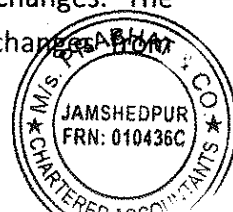
The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss. The Group uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting year.

vii. Income Taxes

There are transactions and calculations for which the ultimate tax determination is uncertain and would get finalised on completion of assessment by tax authorities. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax in the year in which such determination is made.

viii. Depreciation / Amortisation and useful lives of Property Plant and Equipment (PPE) / Intangible Assets

PPE / intangible assets are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation to be recorded during any reporting period. The useful lives and residual values are based on the Group's historical experience with similar assets and take into account anticipated technological changes. The depreciation / amortisation for future periods are revised if there are significant changes in previous estimates.



ix. Exceptional items

Exceptional items are those items that management considers, by virtue of their size or incidence, should be disclosed separately to ensure that the financial information allows an understanding of the underlying performance of the business in the year, so as to facilitate comparison with prior periods. Such items are material by nature or amount to the year's result and / or require separate disclosure in accordance with Ind AS. The determination as to which items should be disclosed separately requires a degree of judgement.

e. Current and non-current classification

The Group presents assets and liabilities in statement of financial position based on current/ non-current classification. The Group has presented non-current assets and current assets before equity, non-current liabilities and current liabilities in accordance with Schedule III, Division II of Companies Act, 2013 notified by MCA.

An asset is classified as current when it is:

- i.Expected to be realised or intended to be sold or consumed in normal operating cycle,
- ii.Held primarily for the purpose of trading,
- iii.Expected to be realised within twelve months after the reporting year, or
- iv.Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting year.

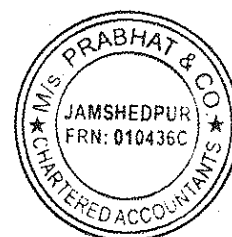
All other assets are classified as non-current.

A liability is classified as current when it is:

- i.Expected to be settled in normal operating cycle,
- ii.Held primarily for the purpose of trading,
- iii.Due to be settled within twelve months after the reporting year, or
- iv.There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting year.

The Group classifies all other liabilities as non-current.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. Deferred tax assets and liabilities are classified as non-current assets and liabilities. The Company has identified twelve months as its normal operating cycle.



B. Significant Accounting Policies

a. Property, Plant and Equipment:

i. Recognition and measurement

Property, Plant and equipment are measured at cost (which includes capitalised borrowing costs) less accumulated depreciation and accumulated impairment losses, if any.

The cost of an item of property, plant and equipment comprises:

- i. its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- ii. any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management.
- iii. the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment and depreciated accordingly.

Any gain or loss on disposal of an item of property, plant and equipment is recognised in Statement of profit or loss.

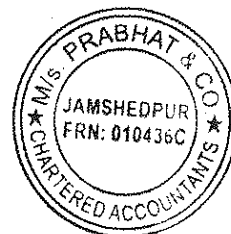
Capital work-in-progress includes cost of property, plant and equipment under installation / under development as at the balance sheet date.

Leasehold lands are amortised over the period of lease. Buildings constructed on leasehold land are depreciated based on the useful life specified in schedule II to the Companies Act, 2013, where the lease period of land is beyond the life of the building. In other cases, buildings constructed on leasehold lands are amortised over the primary lease period of the lands.

On transition to Ind AS as on April 1, 2015 the Company has elected to measure certain items of Property, Plant and Equipment [Freehold Land, Building and Plant and Equipment's] at Fair Value and for other Property, Plant and Equipment these are measure at cost as per Ind AS. The same are considered as deemed cost on the date of transition to Ind AS.

ii. Subsequent expenditure

Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.



iii. Depreciation, estimated useful life and estimated residual value

Depreciation is calculated using the straight-line Method, pro rata to the period of use, taking into account useful lives and residual value of the assets. The useful life of assets & the estimated residual value, which are different from those prescribed under Schedule II to the Companies Act, 2013, are based on technical advice as under:

Depreciation is computed with reference to cost.

The assets residual value and useful life are reviewed and adjusted, if appropriate, at the end of each reporting year. Gains and losses on disposal are determined by comparing proceeds with carrying amounts. These are included in the statement of Profit and Loss.

b. Intangible Assets

Identifiable intangible assets are recognised when it is probable that future economic benefits attributed to the asset will flow to the Group and the cost of the asset can be reliably measured. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

i. Recognition and measurement

Computer software's have finite useful lives and are measured at cost less accumulated amortisation and any accumulated impairment losses.

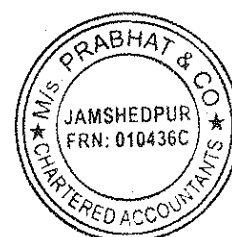
Acquired brands / Trademarks have indefinite useful life and as on transition date April 1, 2015 have been Fair valued based on reports of expert valuer, which is considered as deemed cost on transition to Ind AS. The same are tested for impairment, if any , at the end of each accounting year.

ii. Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, when incurred is recognised in statement of profit or loss.

iii. Amortisation

Amortisation is calculated to write off the cost of intangible assets less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognised in statement of profit or loss. Computer software are amortised over their estimated useful life or 5 years, whichever is lower. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if required.



c. Impairment of assets

An asset is considered as impaired when at the date of Balance Sheet, there are indications of impairment and the carrying amount of the asset, or where applicable, the cash generating unit to which the asset belongs, exceeds its recoverable amount (i.e. the higher of the net asset selling price and value in use). The carrying amount is reduced to the recoverable amount and the reduction is recognised as an impairment loss in the statement of profit and loss. The impairment loss recognised in the prior accounting period is reversed if there has been a change in the estimate of recoverable amount. Post impairment, depreciation is provided on the revised carrying value of the impaired asset over its remaining useful life.

d. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one Company and a financial liability or equity instrument of another Company. Financial instruments also include derivative contracts such as foreign currency foreign exchange forward contracts, interest rate swaps and currency options.

i. Financial assets

Initial recognition and measurement

All financial assets are initially recognised at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets, which are not at fair value through profit or loss, are adjusted to the fair value on initial recognition. Financial assets are classified, at initial recognition, as financial assets measured at fair value or as financial assets measured at amortised cost.

Subsequent Measurement

Financial Assets measured at Amortised Cost (AC)

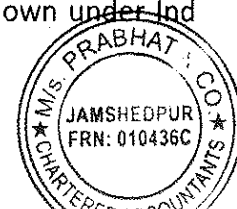
A Financial Asset is measured at Amortised Cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represent solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Other Comprehensive Income (FVTOCI)

A Financial Asset is measured at FVTOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling Financial Assets and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represents solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Profit or Loss (FVTPL)

A Financial Asset which is not classified in any of the above categories are measured at FVTPL. Financial assets are reclassified subsequent to their recognition, if the Group changes its business model for managing those financial assets. Changes in business model are made and applied prospectively from the reclassification date which is the first day of immediately next reporting period following the changes in business model in accordance with principles laid down under Ind AS 109 – Financial Instruments.



In case of investments

In Equity instruments

- For subsidiaries, associates and Joint ventures - Investments are measured at cost and tested for impairment periodically. Impairment (if any) is charged to the Statement of Profit and Loss.
- For Other than subsidiaries, associates and Joint venture - Investments are measured at Fair value through Other Comprehensive Income [FVTOCI].

In Mutual fund

Measured at Fair value through Profit and Loss (FVTPL).

Guarantee Commission

Guarantees extended to subsidiaries, associates and Joint ventures are Fair Valued.

Debt instruments

The Group measures the debt instruments at Amortised Cost. Assets that are held for collection of contractual cash flows where those cash flows represent solely payment of principal and interest [SPPI] are measured at amortised cost. A gain or loss on a debt investment that is subsequently measured at amortised cost and is not part of the hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in finance income using the Effective interest rate method.

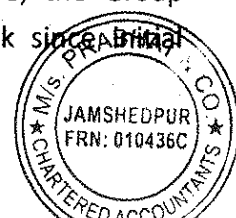
Derecognition of financial assets

The Group derecognises a financial asset when the contractual rights to cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

Impairment of financial assets

In accordance with Ind-AS 109, the Group applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss on the following financial asset and credit risk exposure:

- Financial assets that are debt instruments and are measured at amortised cost e.g., loans, debt securities, deposits, and bank balance.
- Trade receivables The Group follows 'simplified approach' for recognition of impairment loss allowance on:
 - Trade receivables which do not contain a significant financing component. The application of simplified approach does not require the Group to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.
 - For recognition of impairment loss on other financial assets and risk exposure, the Group determines that whether there has been a significant increase in the credit risk since initial recognition. Expected Credit Loss Model is used to provide for impairment loss.



ii. Financial liabilities Classification

The Group classifies its financial liabilities in the following measurement categories:

- those to be measured subsequently at fair value through profit and loss-[FVTPL]; and
- those measured at amortised cost. [AC]

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss or at amortised cost.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, financial guarantee contracts and derivative financial instruments.

Subsequent measurement

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts are approximate at their fair value due to the short maturity of these instruments.

Financial liabilities at fair value through profit or loss [FVTPL]

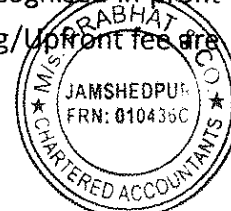
Financial liabilities at fair value through profit or loss [FVTPL] include financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by Ind-AS 109. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, only if the criteria in Ind-AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risk are recognised in OCI. These gains/losses are not subsequently transferred to statement of profit or loss. However, the Group may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognised in the statement of profit or loss.

Loans and borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of borrowings using the effective interest method. Processing/Upfront fees are



treated as prepaid asset netted of from borrowings. The same is amortised over the period of the facility to which it relates.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

This category generally applies to interest-bearing loans and borrowings.

Borrowings are derecognised from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of the financial liability that has been extinguished or transferred to another party and the consideration paid including any non-cash assets transferred or liability assumed, is recognised in Statement of profit or loss as other gains or (losses).

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer the settlement of liabilities for at least twelve months after the reporting year.

Where there is a breach of a material provision of a long term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the same is classified as current unless the lender agreed, after the reporting year and before the approval of financial statements for issue, not to demand payment as a consequence of the breach.

Trade and other payable

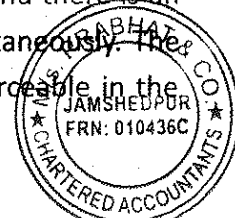
These amounts represent liabilities for goods and services provided to the Group prior to the end of financial year which are unpaid at the year end. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting year. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the



normal course of business and in the event of default, insolvency or bankruptcy of the Group or the counterparty.

Derivative financial instruments

The Group uses derivative financial instruments, such as forward currency contracts, interest rate swaps and forward commodity contracts to hedge its foreign currency risks, interest rate risks and commodity price risks respectively. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined and the amount recognised less cumulative amortisation.

e. Inventories

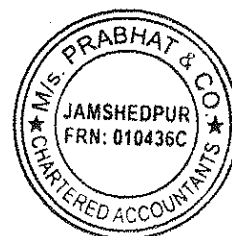
Inventories are measured at the lower of cost and net realisable value after providing for obsolescence, if any, except for Stock-in-Trade [which are measured at Fair value] and Realisable by-products [which are measured at net realisable value]. The cost of inventories is determined using the weighted average method and includes expenditure incurred in acquiring inventories, production or conversion and other costs incurred in bringing them to their respective present location and condition. In the case of manufactured inventories and work in progress, cost includes an appropriate share of production overheads based on normal operating capacity. The comparison of cost and Net Realisable value is made on an item by item basis.

Net realisable value is estimated selling price in the ordinary course of business, less estimated cost of completion and the estimated costs necessary to make the sale. The net realisable value of work in progress is determined with reference to selling prices of finished products.

f. Cash And Cash Equivalent

For the purpose of presentation in the statement of the cash flows, cash and cash equivalent includes the cash on hand, deposits held at call with financial institutions other short term, highly liquid investments with original maturity of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, investing and financing activities of the Group are segregated based on the available information.



g. Contributed Equity

Equity shares are classified as equity. Incidental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

h. Dividends

Annual dividend distribution to the shareholders is recognised as a liability in the period in which the dividends are approved by the shareholders. Any interim dividend paid is recognised on approval by Board of Directors. Dividend payable and corresponding tax on dividend distribution is recognised directly in other equity.

i. Earnings per share

i. Basic earnings per share

Basic earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares, (excluding treasury shares).

ii. Diluted earnings per share

Diluted earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares (excluding treasury shares) considered for basic earning per shares including dilutive potential Equity shares.

j. Foreign Currency

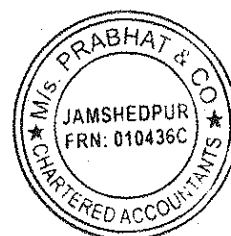
i. Foreign currency transactions

Transactions in foreign currencies are translated into the functional currencies of the Group at the exchange rate prevailing at the date of the transactions. Monetary assets (other than investments in companies registered outside India) and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date.

Investments in companies registered outside India are converted at rate prevailing at the date of acquisition. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are not translated.

Difference on account of changes in foreign currency are generally charged to the statement of profit & loss except the following:

The Group has availed the exemption available under Para D13AA of Ind AS - 101 of "First time adoption of Indian Accounting Standards". Accordingly, exchange gains and losses on foreign currency borrowings taken prior to April 1, 2016 which are related to the acquisition or construction of qualifying assets are adjusted in the carrying cost of such asset.



k. Revenue recognition

The Group derives revenues primarily from sale of manufactured goods, traded goods and related services.

In Compliance with Ind AS 20 on Government Grants and consequent to issuance of Education Material by The Institute of Chartered Accounts of India on Ind AS 115, the amount of export incentives have been reclassified from "Other Operating Revenue" to "Other Income".

i. Sale of Goods/ Services

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration entitled in exchange for those goods or services. Generally, control is transfer upon shipment of goods to the customer or when the goods is made available to the customer, provided transfer of title to the customer occurs and the Company has not retained any significant risks of ownership or future obligations with respect to the goods shipped.

Revenue from rendering of services is recognised over the time by measuring the progress towards complete satisfaction of performance obligations at the reporting period.

Revenue is measured at the amount of consideration which the Group expects to be entitled to in exchange for transferring distinct goods or services to a customer as specified in the contract, excluding amounts collected on behalf of third parties (for example taxes and duties collected on behalf of the government). Consideration is generally due upon satisfaction of performance obligations and receivable is recognised when it becomes unconditional.

The Group does not have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, it does not adjust any of the transaction prices for the time value of money.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and claims, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

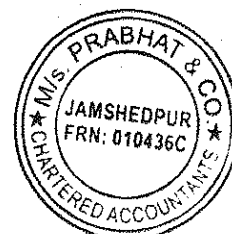
Contract balances

Trade receivables

A receivable represents the Group's right to an amount of consideration that is unconditional.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognised when the payment is made. Contract liabilities are recognised as revenue when the Group performs under the contract.



ii. Other Income

Other income is comprised primarily of interest income, dividend income, gain/loss on investments and gain/loss on foreign exchange and on translation of other assets and liabilities. Interest income is recognised using the effective interest method. Claims for export incentives/ duty drawbacks, duty refunds and insurance are accounted when the right to receive payment is established.

l. Government Grants

- i. Grants from the Government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all the attached conditions.
- ii. Government grant relating to purchase of Property, Plant and Equipment are included in "Other current/ non-current liabilities" as Government Grant - Deferred Income and are credited to Profit or loss on a straight line basis over the expected life of the related asset and presented within "Other operating Income".

m. Employee Benefits

i. During Employment benefits

i. Short term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

ii. Post Employment benefits

i. Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which a Company pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts. The Group makes specified monthly contributions towards government administered Provident Fund scheme.

Obligations for contributions to defined contribution plans are expensed as the related service is provided. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

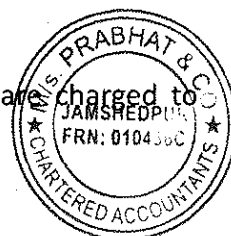
ii. Defined benefit plans

The Group pays gratuity to the employees who have completed five years of service with the company at the time when employee leaves the Company. The gratuity is paid as per the provisions of Payment of Gratuity Act, 1972.

The gratuity liability amount is contributed to the approved gratuity fund formed exclusively for gratuity payment to the employees.

The liability in respect of gratuity and other post-employment benefits is calculated using the Projected Unit Credit Method and spread over the periods during which the benefit is expected to be derived from employees' services.

Re-measurement of defined benefit plans in respect of post employment are charged to Other Comprehensive Income.



iii. Termination benefits

Termination benefits are payable when employment is terminated by the Group before the normal retirement date or when an employee accepts voluntary redundancy in exchange for these benefits. In case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than twelve months after the end of reporting year are discounted to the present value.

n. Income Taxes

Income tax expense comprises current and deferred tax. Tax is recognised in statement of profit and loss, except to the extent that it relates to items recognised in the other comprehensive income or in equity. In which case, the tax is also recognised in the other comprehensive income or in equity.

i. Current tax

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, based on tax rates and laws that are enacted or subsequently enacted at the Balance sheet date.

Current tax assets and liabilities are offset only if, the Company:

- i. has a legally enforceable right to set off the recognised amounts; and
- ii. intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current tax provision is computed for income calculated after considering allowances and exemptions under the provisions of the applicable Income Tax Laws. Current tax assets and current tax liabilities are off set, and presented as net.

ii. Deferred tax

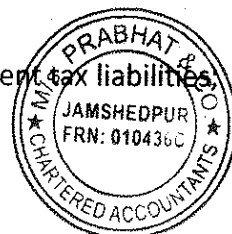
Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the year in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have enacted or substantively enacted by the end of the reporting year. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting year. Deferred tax is recognised to the extent that it is probable that future taxable profit will be available against which they can be used.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset only if:

- i. the Group has a legally enforceable right to set off current tax assets against current tax liabilities, and



- ii. the deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable Company.

o. Borrowing Costs

General and specific Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that necessarily takes a substantial period of time to get ready for its intended use are capitalised as part of the cost of that asset till the date it is ready for its intended use or sale. Other borrowing costs are recognised as an expense in the year in which they are incurred.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing cost eligible for capitalisation. All other borrowing costs are charged to the statement of profit and loss for the year for which they are incurred.

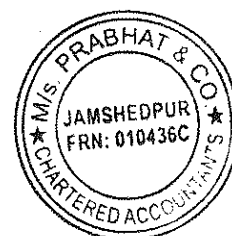
p. Leases

The Group, as a lessee, recognises a right-of-use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Group has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right-of-use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The Group measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate. For short-term and low value leases, the Group recognises the lease payments as an operating expense on a straight-line basis over the lease term.

q. Non- Current assets held for sale:

Non-current assets are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when a sale is highly probable from the date of classification, management are committed to the sale and the asset is available for immediate sale in its present condition. Non-current assets are classified as held for sale from the date these conditions are met and are measured at the lower of carrying amount and fair value less cost to sell. Any resulting impairment loss is recognised in the Statements of Profit and Loss as a separate line item. On classification as held for sale, the assets are no longer depreciated. Assets and liabilities classified as held for sale are presented separately as current items in the Balance Sheet.



r. Provisions and contingent liabilities

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event. It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are discounted using equivalent period government securities interest rate. Unwinding of the discount is recognised in the statement of profit and loss as a finance cost. Provisions are reviewed at each balance sheet date and are adjusted to reflect the current best estimate.

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made. Information on contingent liability is disclosed in the Notes to the Financial Statements.

Contingent assets are not recognised. However, when the realisation of income is virtually certain, then the related asset is no longer a contingent asset, but it is recognised as an asset.

s. Segment reporting

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, whose operating results are regularly reviewed by the company's chief operating decision maker to make decisions for which discrete financial information is available. Based on the management approach as defined in Ind AS 108, the chief operating decision maker evaluates the Group's performance and allocates resources based on an analysis of various performance indicators by business segments and geographic segments.

t. Biological Assets

Biological Assets are measured at fair value less costs to sell, with any changes therein recognised in the Statement of Profit & Loss.

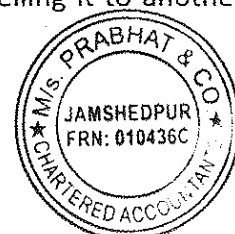
u. Fair value measurement:

The Group measures financial instruments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

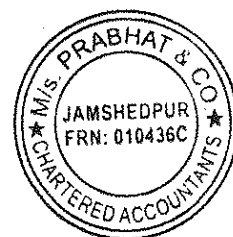
- i. In the principal market for the asset or liability, or
- ii. In the absence of a principal market, in the most advantageous market for the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.



The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy.



BKM INDUSTRIES LIMITED
2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

CONSOLIDATED BALANCE SHEET as on 31.03.2025

		(INR' Lakhs)	
Particulars	Note No.	As at 31st-Mar-25	As at 31st-Mar-24
I. ASSETS			
1. Non-current assets			
(a) Property, Plant and Equipment	3	693.83	746.94
(b) Capital Work-in-Progress	3	-	-
(c) Intangible assets under development		-	-
(d) Financial Assets			
(i) Investments	4	-	0.17
(ii) Loans	6	-	-
(iii) Other financial assets	7	-	-
(e) Deferred tax assets (net)	8	1.82	21.94
(f) Other non-current assets	9	-	-
2. Current assets			
(a) Inventories	10	-	1.08
(b) Financial Assets			
(i) Trade receivables	5	32.39	5.63
(ii) Cash & cash equivalents	11	14.13	4.57
(iii) Bank balances other than (ii) above	11	-	-
(iv) Loans	6	78.77	-
(c) Current Tax Assets (net)	12	13.41	1.28
(d) Other current assets	9	225.92	-
3. Non-current assets held for Sale	3	69.49	2,448.58
TOTAL ASSETS		1,129.76	3,230.18
II. EQUITY AND LIABILITIES			
1. Equity			
(a) Equity Share Capital	13	12.35	12.35
(b) Other Equity	14	-185.10	-149.78
2. Liabilities			
(i) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	-	-
(ii) Other financial liabilities	17	-	-
(b) Provisions	19	-	-
(c) Deferred tax liabilities (net)	8	-	-
(d) Other non-current liabilities	18	-	-
(ii) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	1,280.30	-
(ii) Trade payables	16		
(A) Total outstanding dues of micro enterprises and small enterprises			
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises			
(iii) Other financial liabilities	17	-	2,932.76
(b) Other current liabilities	18	22.20	434.84
(c) Provisions	19	-	-
TOTAL EQUITY AND LIABILITIES		1,129.76	3,230.18

Notes forming an integral part of financial statements

1 to 32

As per our report of even date attached

For M/s. Prabhat & Co.

Chartered Accountants

Firm Regn. No. : - 010458C

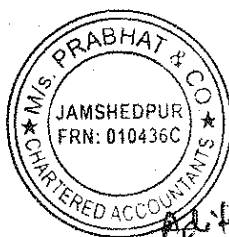
CA Prabhat Kumar Sekseria

(Proprietor)

Membership No: 400091

UDIN: 25400091BMONXV9907

Peer Review No - 19370



For and on behalf of the Board

DAYAAN HABIB FAROOQUI

(Whole-time director)

(DIN - 10489051)

ADITYA FOGLA

(Compan

y

Secretary

)

AMIT SINGH

(Whole-time

director)

(DIN - 11003471)

KISHAN KEJRIWAL

(Chief Financial

Officer)

Date : 30.05.2025

Place: Jamshedpur

CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 2025

(INR' Lakhs)

Particulars	Note No.	For the year ended 31st March,2025	For the year ended 31st March,2024
I.Income			
Revenue from Operations	20	6.10	92.53
Other Income	21	9.09	10.05
Other Gains/(Losses)	22	5.42	3.80
Rounding Off		-	-
Total Income		20.61	106.39
II.Expenses			
Changes in Inventories (increase) /decrease	23	1.08	31.75
Depreciation and Amortization expenses	3	78.57	172.79
Operating and Manufacturing Expenses	24	7.02	-
Employee Benefit Expenses	25	20.61	-
Finance cost	26	20.28	0.10
Other Expenses	27	408.06	128.46
Total expenses		535.62	333.10
III.Profit Before exceptional items and tax		-515.02	-226.71
Exceptional items		-	-
IV.Profit Before Taxes		-515.02	-226.71
V.Tax Expenses			
(a)Current Tax		-	-
(b)Deferred Tax Expenses/(Income)		41.67	-21.94
(c)Income Tax of Earlier Years		0.01	-
VI.Profit (Loss) from continuing operations		-556.70	-204.78
Profit (loss) from discontinued operations before tax		-	-
Tax expense of discontinued operations		-	-
VII.Profit (Loss) from discontinued operations (after tax)		-	-
VIII.Profit (Loss) for the year		-556.70	-204.78
IX.Other Comprehensive Income			
A (i) Items that will not be reclassified to profit or loss :			
(a) Revaluation Surplus of Property Plant & Equipment		-	-
(b) Re-measurement of defined employee benefit plans		-	-
(ii) Income tax relating to items that will not be reclassified to profit or loss :		-	-
(a) on Revaluation Surplus on Property, Plant & Equipment		-	-
(b) on Re-measurement of defined employee benefit plans		-	-
B (i) Items that will be reclassified to profit or loss :			
(a) Changes in investments other than equity shares carried at Fair Value through OCI (FVOCI)		-	-
(ii) Income tax relating to items that will be reclassified to profit or loss :		-	-
X.Total Other comprehensive income after tax		-	-
XI.Total comprehensive income for the period		-556.70	-204.78
XII.Earnings per equity share (for continuing operation):			
(1) Basic		-45.07	-16.58
(2) Diluted		-45.07	-16.58
XIII.Earnings per equity share (for discontinued operation):			
(1) Basic		-45.07	-16.58
(2) Diluted		-45.07	-16.58
XIV.Earnings per equity share (for continuing & discontinued operations):			
(1) Basic		-45.07	-16.58
(2) Diluted		-45.07	-16.58

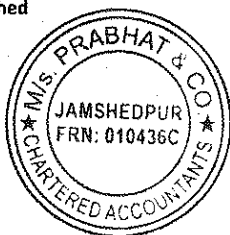
Notes forming an integral part of financial statements

1 to 32

As per our report of even date attached

For M/s. Prabhat & Co.
Chartered Accountants
Firm Regn. No. : - 010458C

CA Prabhat Kumar Sekseria
(Proprietor)
Membership No: 400091
UDIN: 25400091BMONXV9907
Peer Review No - 19370



For and on behalf of the Board

DAYAAN HABIB FAROOQUI
(Whole-time director)
(DIN - 10489051)

AMIT SINGH
(Whole-time director)
(DIN - 11003471)

ADITYA FOGLA
(DIN - 10489051)

KISHAN KEJRIWAL
(DIN - 11003471)

Date : 30.05.2025

Company
Secretary

(Chief Financial Officer)

Place: Jamshedpur

BKM INDUSTRIES LIMITED
2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

CONSOLIDATED STATEMENT OF CASH FLOWS

(INR' Lakhs)

Particulars	Year Ended 31st March 2025	Year Ended 31st March 2024
A Operating Activities		
Profit before tax from continuing operations	-515.02	-226.71
Profit/(loss) before tax from discontinuing operations		
Profit before tax	-515.02	-226.71
Adjustments for:		
Depreciation on Property, Plant and Equipment	78.57	172.79
Amortisation of intangible assets		
Finance Cost (including fair value changes in financial instruments)		
Net foreign exchange differences		
Interest Income (including fair value changes in financial instruments)	-9.09	-10.05
Dividend Income		
Provision for Gratuity		
(Profit)/Loss on sales of Property, Plant and Equipment		
Net (Gain)/Loss on remeasurement of Financial Assets carried FVTPL	219.21	-3.80
Changes due to amortisation and interest on lease-hold assets under Ind AS-116		
Operating profit / (loss) before working capital changes	-226.33	-67.77
Working capital adjustments:		
Decrease/(Increase) in Trade receivables	-26.77	-5.63
Decrease/(Increase) in Loans	-78.77	
Decrease/(Increase) in Inventories	1.08	31.74
Decrease/(Increase) in Other financial assets		
Decrease/(Increase) in Current Tax assets	-12.13	
Decrease/(Increase) in Other current assets	-225.93	
(Decrease)/Increase in Trade payables		
(Decrease)/Increase in Other financial liability	-382.63	18.63
(Decrease)/Increase in Other current liability	-412.64	-4.59
(Decrease)/Increase in Provisions		
	-1,364.10	-27.62
Income taxes paid		
NET CASH INFLOW (OUTFLOW) FROM OPERATING ACTIVITIES (A)	-1,364.10	-27.62
B Investing Activities		
Purchase of Property, Plant and Equipment		
Purchase of Intangible Assets		
Changes in Capital Work In Progress		
Invested in FD		
Sale of Property, Plant and Equipment	2,134.41	3.80
(Purchase)/Sale of Investments		
Interest received (finance income)	9.09	10.05
Dividend received		
NET CASH INFLOW (OUTFLOW) FROM INVESTING ACTIVITIES (B)	2,143.50	13.85
C Financing Activities		
Proceeds from issue of equity shares	500.00	
Interest paid		
Proceeds/(Repayment) from borrowings	-1,269.84	
Dividends paid including Dividend Distribution Tax		
NET CASH INFLOW (OUTFLOW) FROM FINANCING ACTIVITIES (C)	-769.84	-
Net increase (decrease) in cash and cash equivalents (A+B+C)	9.56	-13.77
Cash and cash equivalents at the beginning of the year	4.57	18.34
Cash and cash equivalents at year end	14.14	4.57

This statement of cash flows have been prepared as per indirect method as prescribed under Ind AS 7 "Statement of Cash Flows".

As per our report of even date attached

For M/s. Prabhat & Co.

Chartered Accountants

Firm Regn. No. :- 010458C

CA Prabhat Kumar Sekseria

(Proprietor)

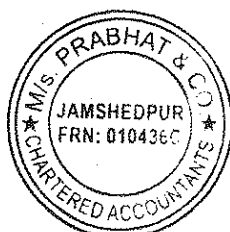
Membership No: 400091

UDIN: 25400091BMONXV9907

Peer Review No - 19370

Date : 30.05.2025

Place: Jamshedpur



Dayaan Habib Farooqui

DAYAAN HABIB FAROOQUI

(Whole-time director)

(DIN - 10489051)

Aditya Fogla

ADITYA FOGLA

(Company Secretary)

Amit Singh

AMIT SINGH

(Whole-time director)

(DIN - 11003471)

Kishan Kejriwal

KISHAN KEJRIWAL

(Chief Financial Officer)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(NR' Lakhs)

A. Equity Share Capital

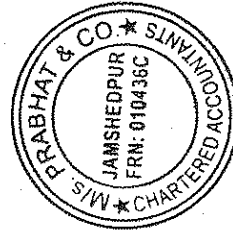
Particulars	Amount
As at 31 March 2023	655.34
Changes in equity share capital	-642.99
As at 31 March 2024	12.35
Changes in equity share capital	-
As at 31 March 2025	12.35

B. Other Equity

Particulars	Attributable to owners of BKM Industries Limited						Total other equity
	Reserves & Surplus			Other Comprehensive Income	Share Application Money Received pending Allotment	Debtenture Application Money Received pending Allotment	
	Capital Reserves	General Reserves	Securities Premium				
Balance at 31 March 2023	5.00	6,169.59	4,171.20	-11,257.62	1,460.00		548.17
Profit for the year	-	-	-	-204.77	-		-204.77
Other comprehensive income	-	-	-	-	-		-
Total comprehensive income for the year	-	-	-	-204.77	-		-204.77
Other Adjustments	-5.00	-6,169.59	-4,171.20	11,312.61	-1,460.00		-493.17
Issue of equity shares	-	-	-	-	-		-
Dividends paid	-	-	-	-	-		-
Balance at 31 March 2024	-	-	-	-149.77	-		-149.77
Profit for the year	-	-	-	-556.70	-		-556.70
Other comprehensive income	-	-	-	-	-		-
Total comprehensive income for the year	-	-	-	-556.70	-		-556.70
Other Adjustments	-	-	-	21.38	-		21.38
Issue of equity shares	-	-	-	-	200.00	300.00	500.00
Dividends paid	-	-	-	-	-	-	-
Balance at 31 March 2025	-	-	-	-685.09	200.00	300.00	-185.09

As per our report of even date attached

For M/s. Prabhat & Co.
Chartered Accountants
Firm Regd No. - 010458C



CA Prabhat Kumar Sekeria
(Proprietor)
Membership No: 400091
UDIN: 254000918MDNV9907
Peer Review No - 19370
Date : 30.05.2025
Place: Jamshedpur

[Signature]

DAYAAN HABIB FAROOQUI

(Whole-time director)
(DIN - 10489051)
ADITYA FOGLA
(Company Secretary)

[Signature]

For and on behalf of the Board

[Signature]

AMIT SINGH

(Whole-time director)
(DIN - 11003471)
KISHAN KEIRIWAL
(Chief Financial Officer)

[Signature]

BKM INDUSTRIES LIMITED
2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

Note - 3: PROPERTY, PLANT AND EQUIPMENT

(INR' Lakhs)

Particulars	Freehold Land	Buildings (Freehold & leasehold)	Furniture, Fittings and Equipment	Plant and Machinery	Office Equipment	Vehicles	TOTAL	Capital Work in-Progress
Gross Carrying Amount								
At 31st March, 2023	2,267	1,580	485	6,933	277	162	11,704	344
Additions/Adjustments during the year	254	(1,166)	(485)	(6,232)	(277)	(162)	(8,068)	(344)
Disposals/ Adjustments during the year	-	-	-	(269)	-	-	(269)	-
At 31st March, 2024	2,521.02	414.58	-	432.69	-	-	3,368.30	-
Additions/Adjustments during the year	(2,101)	(168)	-	(85)	-	-	(2,354)	-
Disposals/ Adjustments during the year	419.87	246.96	-	347.84	-	-	1,014.68	-
At 31st March, 2025	-	-	-	-	-	-	-	-
Accumulated Depreciation and Impairment								
At 31st March, 2023	-	1,113	485	6,275	277	162	8,313	-
Additions/Adjustments during the year	-	(1,113)	(485)	(6,275)	(277)	(162)	(8,313)	-
Depreciation charge for the year	-	16	-	157	-	-	173	-
Disposals during the year	-	-	-	-	-	-	-	-
At 31st March, 2024	-	16	-	157	-	-	173	-
Additions/Adjustments during the year	-	-	-	-	-	-	-	-
Depreciation charge for the year	-	29	-	50	-	-	79	-
Disposals during the year	-	-	-	-	-	-	-	-
At 31st March, 2025	-	45	-	207	-	-	251	-

Net Book Value At 31st March, 2023

Net Book Value At 31st March, 2024

Net Book Value At 31st March, 2025

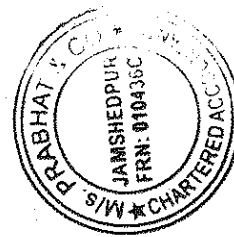
2,267
2,521
420

467
398
202

659
276
141

3,391
3,196
763

344
-



Net Book Value:

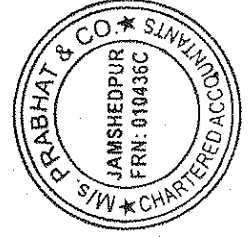
Particulars	As at 31st March 2025	As at 31st March 2024
	INR' Lakhs	INR' Lakhs
Property, Plant and Equipment (PPE)		
(a) PPE other than held for sale	694	747
(b) PPE held for sale	69	2,449
Capital Work-in-progress		
Intangible Assets		
	763	3,196

The details of Assets held for sale as at end of each period is as below :-

Particulars	As at 31st March 2025	As at 31st March 2024
	INR' Lakhs	INR' Lakhs
(i) Property, Plant and Equipment		
Opening Balance/Deemed Cost	2,449	67
(+) Additions		2,382
(-) Deletions	-2,379	
Carrying Amount/Deemed Cost	69	2,449

During the year, the Group sold two parcels of land situated at Hyderabad and Liluah, being the only assets held at the said locations, for an aggregate consideration of Rs 1951 lakh. The Group has identified certain items of Property, Plant and Equipment that are no longer in use and management has decided to dispose of them. These assets have been classified as Held for Sale in accordance with Ind AS 105.

Accordingly, depreciation on these assets has ceased from the date of such classification. The assets are measured at the lower of their carrying amount and fair value less costs to sell.



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

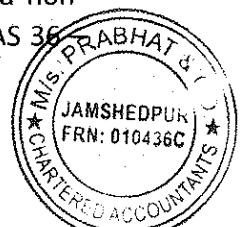
(INR' Lakhs)

Note - 4: INVESTMENTS

Particulars	As at 31st March 2025	As at 31st March 2024
Investment in Equity Instruments:		
Investment in Subsidiary Entities		
(a) Euroasian Ventures FZE 25 Equity shares fully paid of face value AED 1000000 each (on 31st March, 2020: 25 Equity shares fully paid of face value AED 1000000 each)	-	0.17
(b) Glitter Agencies Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	-
(c) Jiwanjyoti Vanijya Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	-
(d) BK Manaksia Nigeria Limited 39990000 Equity shares fully paid of face value of each (on 31st March, 2020: 39990000 Equity shares fully paid of face value of each)	-	-
(e) BKM Agrotech Private Limited 10000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 10000 Equity shares fully paid of face value of 10 each)	-	-
Total	-	0.17
(i) Non-current	-	0.17
(ii) Current	-	-
	-	0.17
Investments measured:		
(a) At Amortized Cost	-	0.17
(b) At Fair Value through Profit & Loss (FVPL)	-	-
(c) At Fair Value through Other Comprehensive Income (FVOCI)	-	-
	-	0.17

Note: During F Y 2023-24, the management carried out an assessment of the recoverability and realizable value of investments made in other entities. Based on the evaluation performed, including the financial position and future business prospects of the investee entities, the management is of the opinion that no realizable value is expected from such investments.

Accordingly, the carrying value of these investments had been fully impaired / considered non-recoverable in the financial statements, in accordance with the applicable provisions of Ind AS 36 Impairment of Assets and other relevant accounting standards, wherever applicable.



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

(INR' Lakhs)

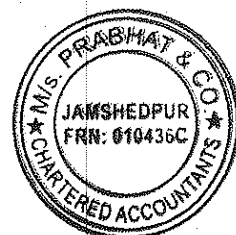
Note - 5: TRADE RECEIVABLES

Particulars	As at 31st March 2025	As at 31st March 2024
Secured, considered good		
(i) Non-Current	-	-
Sub-Total	-	-
(ii) Current		
Gross Trade Receivables	32.39	5.63
Less: Trade Receivable Written off	-	-
Less: Impairment loss/(gain) on financial assets	-	-
Sub-Total	32.39	5.63
Total	32.39	5.63

Trade receivables are non-interest bearing and are generally on terms of 90 to 180 days.

Note - 6: LOANS

Particulars	As at 31st March 2025	As at 31st March 2024
Secured, considered good		
(i) Non Current		
Security Deposits	-	-
Inter-corporate Loans & Deposits	-	-
Deposits with Government Authorities	-	-
Sub-Total	-	-
(ii) Current		
Security Deposit	77.87	-
Inter-corporate Loans & Deposits	0.90	-
Sub-Total	78.77	-
Total	78.77	-



Note - 7: OTHER FINANCIAL ASSETS

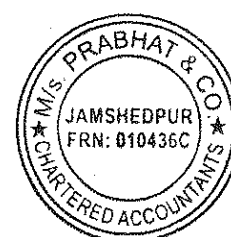
Particulars	As at 31st March 2025	As at 31st March 2024
(i) Non-Current		
Other bank balances	-	-
Sub-Total	-	-
Other financial assets		
(a) Application money paid towards subscription of sec	-	-
(b) Others	-	-
Sub-Total	-	-
Total	-	-
(ii) Current		
Other bank balances	-	-
Sub-Total	-	-
Other financial assets		
(a) Derivative Financial Asset	-	-
(b) Others	-	-
Sub-Total	-	-
Total	-	-

***Details of other balances with banks.**

Particulars	As at 31st March 2025	As at 31st March 2024
Earmarked Balances with Banks	-	-
Term Deposits with Bank	-	-
Margin money, guarantee and security with banks	-	-
Total	-	-

Note - 8: DEFERRED TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2025	As at 31st March 2024
Property, Plant and Equipment	1.82	21.94
Intangible Assets	-	-
Employee Benefit Obligation	-	-
MAT Credit Entitlement	-	-
Impairment loss/(gain) on financial assets	-	-
Total	1.82	21.94



Note - 9: OTHER NON-CURRENT ASSETS

Particulars	As at 31st March 2025	As at 31st March 2024
(i) Non-Current		
Capital Advance		
Fixed Deposit	-	-
Balances with Government Authorities	-	-
Prepaid Lease Rentals	-	-
Other Loans & Advances		
Sub-Total	-	-
(ii) Current		
Capital Advance	-	-
Security Deposit	-	-
Balances with Government Authorities	3.41	-
Other Loans & Advances	220.54	-
Other Current Assets	1.80	-
Prepaid Expenses	0.17	-
Sub-Total	225.92	-
Total	225.92	-

Note - 10: INVENTORIES

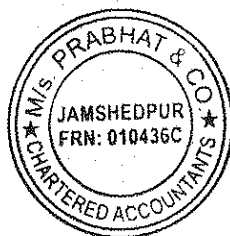
Particulars	As at 31st March 2025	As at 31st March 2024
(a) Raw Materials	-	-
(b) Work-in-Process	-	1.08
(c) Finished Goods	-	-
(d) Stores & Spares	-	-
(e) Stock in Transit	-	-
(f) Scraps	-	-
Total	-	1.08

Note - 11: CASH AND CASH EQUIVALENTS

Particulars	As at 31st March 2025	As at 31st March 2024
Balances with banks		
(i) Cash at bank	-	-
(ii) Cash at PNB	13.41	4.57
(iii) Cash on hand	0.72	-
(iv) Cheques on hand	-	-
Sub Total	14.13	4.57
Less : Amount grouped under other bank balances		
Total	14.13	4.57

Note - 12: CURRENT TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2025	As at 31st March 2024
Interest Receivable	-	0.48
TDS	13.41	0.79
Total	13.41	1.28



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 13: SHARE CAPITAL

Particulars	As at 31st March 2024	As at 31st March 2023
Equity Share Capital		
a) Authorised		
75000000 (on 31st March, 2023: 75000000)		
Equity Shares of Rs.1/- each	750.00	750.00
	<u>750.00</u>	<u>750.00</u>
b) Issued, Subscribed and Paid Up Equity Shares:		
4,09,31,515 (on 31st March, 2023: 65534050)		
Equity Shares of Rs 0.03	12.35	12.35
Total	<u>12.35</u>	<u>12.35</u>

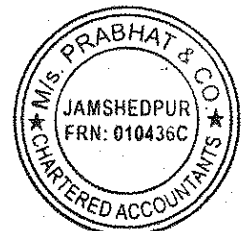
Above figures in bracket pertains to immediately preceding previous period figures.

c) Reconciliation of number of equity shares are set out below:

Particulars	As at 31st March 2024	As at 31st March 2023
i) Shares outstanding at the beginning of the financial year	6,55,34,050	6,55,34,050
ii) Issued during the year		
iii) Shares forfeited/brought back/cancelled during the year	(3,46,52,535)	
iv) Shares outstanding at the end of the financial year	<u>3,08,81,515</u>	<u>6,55,34,050</u>

d) Details of shareholders holding more than 5% of shares

Name of the Shareholders	As at 31st March 2024		As at 31st March 2023	
	% held	No.of Shares	% held	No.of Shares



(a) For reconciliation of number of shares outstanding at the beginning and at the end of the year - [Refer SOCE.]

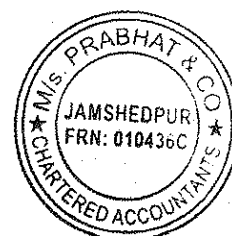
(b) Pursuant to the Scheme of Reduction and Consolidation, the existing 6,55,34,050 equity shares of ₹1 each, comprising 3,46,52,535 equity shares held by the Promoters and 3,08,81,515 equity shares held by the public shareholders, were proposed to be restructured. The Scheme envisaged cancellation of the entire Promoters' shareholding and consolidation of every 25 equity shares of ₹0.04 each held by the public shareholders into 1 equity share of ₹1 each, resulting in 12,35,261 equity shares, with fractional entitlements to be dealt with through the BKM Industries Shareholders Trust in accordance with the Scheme.

During the year, the Group became aware that 1,00,50,000 equity shares earlier classified under the Promoter category and pledged with ICICI Bank Limited had, upon invocation of the pledge, been reclassified as Public shareholding. Consequently, the Promoters' shareholding reduced to 2,46,02,535 equity shares, while the Public shareholding increased to 4,09,31,515 equity shares. Although the reclassification is consistent with the Scheme's objective of reducing the Promoters' shareholding to nil, the increased public shareholding would result in consolidated shares exceeding the 12,35,261 shares approved by the Hon'ble Tribunal. The Group's application seeking modification of the Scheme was rejected by the Hon'ble Tribunal on 27 March 2025, and the Group is in the process of filing a fresh application for the necessary approval.

(c) The company has changed its name from Manaksia Industries Limited to BKM Industries Limited with effect from 16th of October, 2017.

Note - 14: OTHER EQUITY

Particulars	As at 31st March 2024	As at 31st March 2023
a. Capital Reserve		
Opening Balance	-	5.00
Less: Transferred to Retained Earnings	-	-5.00
Sub Total	-	-
b. Securities Premium		
Opening Balance	-	4,171.20
Add: Additions during the year	-	-
Less: Pursuant to CIRP Adjustment (refer Note 31(6))	-	-4,171.20
Sub Total	-	-
c. General Reserves		
Opening Balance	-	6,169.59
Add: Addition during the year	-	-
Less: Pursuant to CIRP Adjustment (refer Note 31(6))	-	-6,169.59
Sub Total	-	-
d. Revaluation Surplus		
Opening Balance	-	1,460.00
Add: Net fair value gain/(loss) on revaluation of Property, Plant and Equipment during the period	-	-
Less: Pursuant to CIRP Adjustment (refer Note 31(6))	-	-1,460.00
Sub Total	-	-



e. Retained Earnings

Opening Balance	-149.78	-11,257.62
Add: Profit/(Loss) during the year	-556.70	-204.78
Add: Re-measurement of defined employee benefit plans through OCI Net of Tax	-	-
Add: Net fair value gain/(loss) on investments during the period	-	-
Less: Impairment loss on financial assets	-	-
Add: Restatement of Property, Plant & Equipment Depreciation on Capital Stores	-	-
Add: Grant on Re-measurement of interest Free Loan	-	-
Less: Unrecognized Interest on Interest Free Loan	-	-
Less: Other Adjustments	21.38	
Less: Pursuant to CIRP Adjustment (refer Note 31(6))	-	11,312.61
Sub Total	-685.10	-149.78

f. Application Money Received Pending Allotment

*Share Application Money Received	200.00	-
**Debenture Application Money Received	300.00	-
	500.00	-
Total	-185.10	-149.78

*During the year, the Group received ₹2,00,00,000 from Anantech Infrastructure Private Limited towards subscription to 2,00,00,000 equity shares of ₹1 each, pursuant to the Resolution Plan approved by the Hon'ble National Company Law Tribunal (NCLT), Kolkata Bench.

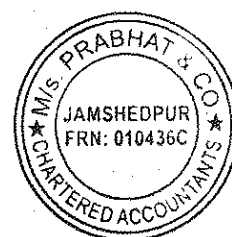
Subsequent to the year-end, the Group filed an application before the Hon'ble NCLT seeking modification of the approved Resolution Plan. The outcome of the application is presently pending. In the event the proposed modification is not approved by the Hon'ble NCLT, the Group may be required to refund the share application money to Anantech Infrastructure Private Limited.

The management is of the view that the accounting treatment adopted in respect of the share application money is appropriate as at 31 March 2025, pending the final outcome of the application before the Hon'ble NCLT.

**During the year, the Group received ₹3,00,00,000 from Anantech Infrastructure Private Limited towards subscription to 12% Compulsorily Convertible Debenture.

If the Group fails to allot the 12% Compulsorily Convertible Debenture within the stipulated period, it shall be required to refund the entire subscription amount received from Anantech Infrastructure Private Limited.

The management is of the view that the accounting treatment adopted in respect of the 12% Fully Compulsorily Convertible Debenture is appropriate as at 31 March 2025



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

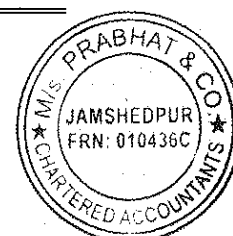
(INR' Lakhs)

Note - 15: BORROWINGS

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
(i) Non-Current Borrowings		
Secured Loan		
(a) Term Loan From Banks & Financial Institutions	-	-
(b) Term Loan From others	-	-
Unsecured Loan		
(a) Loans from Bank	-	-
(b) Loans from Others	-	-
(c) Deferred Sales Tax Liability	-	-
Total non-current borrowings	-	-
(ii) Current Borrowings		
Secured Loan		
From Banks		
(a) Term Loan From Banks & Financial Institutions	-	-
(b) Buyers Credit	-	-
Unsecured Loan		
From Others	1,280.30	-
Total current borrowings	1,280.30	-

Note - 16: TRADE PAYABLES

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
i. Non-Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-
Sub-Total	-	-
ii. Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises*	-	-
Sub-Total	-	-
Grand Total	-	-



Note - 17: OTHER FINANCIAL LIABILITIES

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
i. Non-Current		
Security Deposits From Consignment Agency	-	-
Sub-Total	-	-
ii. Current		
Current Maturity of Long term debt	-	2,550.14
Interest Accrued but not Due	-	-
EMD money received from RA	-	364.00
Others	-	18.63
	-	2,932.76
Total	-	2,932.76

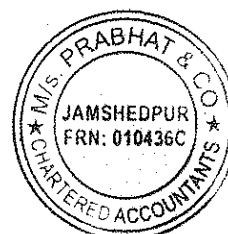
Note:- Pursuant to the Resolution Plan approved by the National Company Law Tribunal ("NCLT") vide order dated 19 September 2023, the repayment obligations under the term loans from banks were serviced during FY 2024-25 in accordance with the terms and conditions stipulated under the approved Resolution Plan.

Note - 18: OTHER CURRENT LIABILITIES

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
i. Non-current		
(i) Leasehold building liability	-	-
Total	-	-
ii. Current		
(i) Statutory Dues Payable	1.80	7.35
(ii) Workmen Employee	8.72	176.49
(iii) Unpaid Dividend Account	-	-
(iv) COC	-	-
(v) EMD money received from RA	-	-
(vi) Operational Creditor	0.24	-
(vii) Advance Received against sale of PPE	-	251.00
(viii) Others	11.44	-
Total	22.20	434.84

Note - 19: PROVISIONS

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
(i) Provision for Employee Benefits	-	-
(ii) Provision for Gratuity	-	-
Total	-	-
(i) Non Current	-	-
(ii) Current	-	-
Total	-	-





BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India,
700013

(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 23: CHANGES IN INVENTORIES

Particulars	31st March 2025	31st March 2024
Opening Stock		
Finished Goods	-	6.55
Semi-Finished Goods	1.08	10.48
Scrap Material	-	15.80
Sub-Total	1.08	32.83
Less:- Closing Stock		
Finished Goods	-	-
Semi-Finished Goods	-	1.08
Scrap Material	-	-
Sub-Total	-	1.08
INCREASE(-)/DECREASE(+)	1.08	31.75

Note - 24: OPERATING AND MANUFACTURING EXPENSES

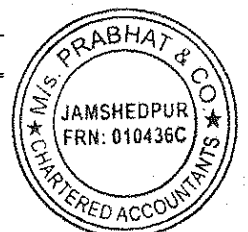
Particulars	31st March 2025	31st March 2024
Consumption of Stores and Consumables	-	-
Power and Fuel	7.02	-
Processing Charges	-	-
Cleaning Charges	-	-
Carriage Inward	-	-
Other Manufacturing Expenses	-	-
Total	7.02	-

Note -25: EMPLOYEE BENEFIT EXPENSES

Particulars	31st March 2025	31st March 2024
Salaries, Wages & Bonus	19.91	-
Contribution to Provident and other Funds	-	-
Workmen & Staff welfare Expenses	0.70	-
Total	20.61	-

Note -26: FINANCE COST

Particulars	31st March 2025	31st March 2024
Interest on Borrowings:		
On Fixed Loans	19.95	-
On Others *	0.33	0.10
Interest on finance lease obligations	-	-
Total	20.28	0.10

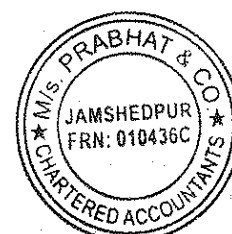


Note -27: OTHER EXPENSES

Particulars	31st March 2025	31st March 2024
Auditors Remuneration (Note 28)	1.65	0.80
Bank Commission and Banking Administration Charges	-	-
CIRP cost	56.49	61.37
Communication Expenses	-	-
Depository Charges	8.48	-
Donation	-	-
Filing Fee	0.30	-
Freight Forwarding & Handling Expenses	-	-
Impairment (loss)/gain on financial assets	-	-
Insurance	0.20	-
Late Fees and Penalties and Interest	0.02	-
Lease Rent	-	4.35
Listing Fee	20.17	-
Miscellaneous Expenses	3.91	4.73
Packing Expenses	-	-
Professional & Legal Fee	25.83	29.35
Publishing Fee	0.62	-
Rates and related Taxes	11.07	-
Rental Charges other than lease	-	-
Repairs & Renewals:		
Plant & Machinery	-	-
Building	-	-
Others	-	-
Travelling Conveyance	21.46	-
Security Services Charges	38.66	27.87
Net losses on Sale of Property, Plant & Equipment	219.21	-
	408.06	128.46

Note - 28 DETAILS OF PAYMENT TO AUDITORS

Particulars	31st March 2025	31st March 2024
As Auditors		
Audit Fees	1.65	0.80
Tax Audit Fee	-	-
	1.65	0.80



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

Notes to the Consolidated Financial Statements

(INR' Lakhs)

Note - 29: CONTINGENT LIABILITY

Particulars	31st March 2025	31st March 2024
i) Guarantees given by Company's Bankers on behalf of the Group:	-	-
a) Guarantees issued in favour of electricity department and other agencies.	-	-
ii) Claims against the Group not acknowledged as debts:	-	-
a) Service Tax	-	-
b) Excise Duty demand under appeal	-	-
c) Entry Tax	-	-
d) Others	0.48	0.40
iii) Corporate Guarantees given by Company.	-	-
Total	0.48	0.40

* Pursuant to the approval of the Resolution Plan by the Hon'ble NCLT on 19 September 2023 under the Insolvency and Bankruptcy Code, 2016, all claims, liabilities and statutory dues not included in the Approved Resolution Plan stand extinguished. No proceedings in respect of such claims or dues, including those owed to the Central or State Governments or local authorities, may be initiated or continued, in line with the judgment of the Hon'ble Supreme Court in Ghanashyam Mishra & Sons Pvt. Ltd. vs Edelweiss Asset Reconstruction Co. Ltd.

Note - 30: RELATED PARTY DISCLOSURE AS PER IND AS 24**(i) List of Related parties:****(a) Associates and Joint Arrangements:**

The company do not have any associates and joint arrangements.

(b) Subsidiaries:

Name	Country	Acquired in Financial Year	% of Holding
(i) Euroasian Ventures FZE	UAE	2011-12	100%

(c) Key Managerial Personnel:

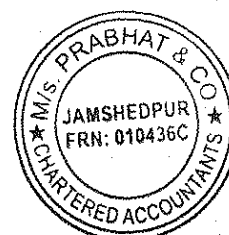
Name	Designation
Mr. Rahul Tikmani	Director
Mr. Jitendra Agarwal	Director
Mr. Kishan Kejriwal	Chief Financial Officer (CFO)
Mr. Aditya Fogla	Company Secretary (CS)
Mr. Amit Singh	Whole-Time Director
Mr Dayaan Habib Farooqui	Whole-Time Director

(d) Close Family members of Key Managerial Personnel:

Name	Relationships
NIL	

(e) Entities where Key Managerial Personnel has significant influence:

Name	Relationships
Uniglobal Papers Private Limited	Entity where KMP has significant influence
Anantech Infrastructure Private Limited	Holding Company



(II) Balances and Transactions with Related Parties:

Name of the Parties	Nature of Transactions	Net Transaction During the Period	
		31st March 2025	31st March 2024
Uniglobal Papers Private Limited	Sale of PPE	8.28	-
Uniglobal Papers Private Limited	Repayment of Loan Liability	298.71	-

Name	Nature of Balance	Balances outstanding as on	
		31st March 2025	31st March 2024
(a) Investments in Equity Shares:			
(i) Euroasian Ventures FZE	Investments in Subsidiary	-	0.17
(ii) Glitter Agencies Private Limited	Investments in Subsidiary	-	-
(iii) Jiwanjyoti Vanijya Private Limited	Investments in Subsidiary	-	-
(iv) BK Manaksia Nigeria Limited	Investments in Subsidiary	-	-
(v) BKM Agrotech Private Limited	Investments in Subsidiary	-	-
(b) Inter-corporate Loans and Deposits:			
(i) Uniglobal papers Private Limited	Loan Liability	16.29	-

a. Transactions have taken place on arm's length basis.

b. No amount in respect of debts pertaining to the related parties have been written off or written back during the year.

c. No provision for doubtful debts is required to be made for the year in respect of debt due from related parties.

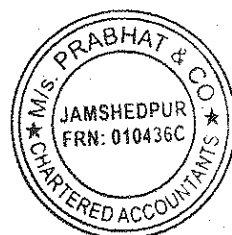
Note - 31: RECOGNITION OF CORPORATE GUARANTEE AS FINANCIAL LIABILITY

Financial guarantee are contractual right of the lender to receive cash from the guarantor, and a corresponding contractual obligation of the guarantor to pay the lender, if the borrower defaults. The contractual right and obligation exist because of a past transaction or event (assumption of the guarantee), even though the lender's ability to exercise its right and the requirement for the guarantor to perform under its obligation are both contingent on a future act of default by the borrower. A contingent right and obligation meet the definition of a financial asset and a financial liability, even though such assets and liabilities are not always recognised in the financial statements. Based on the measurement principles laid down under Ind AS 109 "Financial Instrument: Recognition and Measurement", the fair value of all those financial guarantee contracts reasonable below to the materiality threshold limit set by the company.

Note - 32: MICRO, SMALL AND MEDIUM (MSME) DUES DISCLOSURE

Disclosure of payables to MSME vendors as defined under the "Micro, Small and Medium Enterprise Development Act, 2006" is based on the information available with the company regarding the status of registration of such vendors under the said Act, as per the information received from them on requests made by the company.

There are no Micro, Small and Medium Enterprises (MSME) to whom the Group owes dues which are outstanding for a period of more than 45 days as at the balance sheet date. The above information and that given under current liabilities regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information





INDEPENDENT AUDITOR'S REPORT

To,
The Members of
BKM INDUSTRIES LIMITED

Report on the Audit of the Standalone Financial Statements

OPINION

We have audited the accompanying Standalone Financial Statements of BKM INDUSTRIES LIMITED ("the Company"), which comprise the Balance Sheet as at 31st March, 2025, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date, and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Standalone Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2025, and its **loss**, total comprehensive **loss**, changes in equity and its cash flows for the year ended on that date.

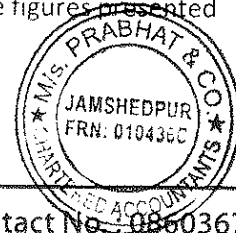
BASIS FOR OPINION

We conducted our audit of the Standalone Financial Statements in accordance with the Standards on Auditing ("SAs") specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Standalone Financial Statements.

EMPHASIS OF MATTER

We draw attention to the following matters in the Notes to the Standalone Financial Statements:

(a) Background – Resolution Plan. The accompanying Standalone Financial Statements have been prepared by the Management giving effect to the Resolution Plan submitted by Uniglobal Papers Private Limited, which was approved by the Hon'ble National Company Law Tribunal, Kolkata Bench ("NCLT") under Section 31 of the Insolvency and Bankruptcy Code, 2016 vide its order dated 19th September, 2023. The effect of the Resolution Plan, including the reduction and consolidation of equity share capital, the restructuring and derecognition of borrowings and other liabilities and the impairment/classification of assets, was given in the financial statements of the preceding year, and the comparative figures presented herein incorporate the same.



(b) Pending modification of the approved Scheme of Reduction and Consolidation of share capital. As more fully described in Note 13, upon invocation of the pledge by ICICI Bank Limited, 1,00,50,000 equity shares earlier classified under the Promoter category were reclassified as Public shareholding. Consequently, the consolidated shareholding would exceed the 12,35,261 equity shares approved by the Hon'ble Tribunal under the Scheme. The Company's application seeking modification of the Scheme was rejected by the Hon'ble Tribunal on 27th March, 2025, and the Company is in the process of filing a fresh application for the necessary approval. The paid-up equity share capital continues to be presented in the manner set out in the said Note, pending the final outcome of the matter.

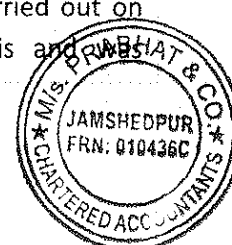
(c) Share application money and CCD application money pending allotment. As described in Note 14, during the year the Company received ₹ 200.00 Lakhs towards subscription to equity shares and ₹ 300.00 Lakhs towards subscription to 10% Compulsorily Convertible Debentures from Anantech Infrastructure Private Limited (the Holding Company), aggregating ₹ 500.00 Lakhs, carried under Other Equity as "Application Money Received Pending Allotment". The allotment is linked to the modification of the approved Resolution Plan, the outcome of which is presently pending before the Hon'ble NCLT. In the event the proposed modification is not approved, the Company may be required to refund the said amounts.

Our opinion is not modified in respect of these matters.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Financial Statements of the current period. These matters were addressed in the context of our audit of the Standalone Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
1	Disposal of Property, Plant and Equipment classified as held for sale Refer Note 3 to the Standalone Financial Statements. During the year, property, plant and equipment classified as held for sale aggregating ₹ 2,379.09 Lakhs were disposed of, with the carrying amount of assets held for sale reducing from ₹ 2,448.58 Lakhs to ₹ 69.49 Lakhs. A part of these assets was sold to a related party. The satisfaction of the held-for-sale criteria up to the date of disposal, the timing of derecognition, the measurement of consideration and the resultant gain/loss, and the arm's-length basis of the related-party disposal involved significant management judgment and	Our principal audit procedures included: - Evaluated whether the held-for-sale criteria under Ind AS 105 continued to be met up to the date of disposal and that depreciation had ceased on such assets; - Examined the sale agreements, approvals and the registered valuer's report relied upon by the Management, and verified the consideration and the resultant gain/loss on a test-check basis; - Verified that the disposal to the related party was carried out on an arm's-length basis and



Sr. No.	Key Audit Matter	How our audit addressed the key audit matter
	were, in our view, of most significance to the audit.	appropriately disclosed under Ind AS 24; and Assessed the adequacy of the related disclosures in the Standalone Financial Statements.
2	Presentation of share application money and CCD application money pending allotment Refer Note 14 to the Standalone Financial Statements. The Company has received ₹ 500.00 Lakhs (₹ 200.00 Lakhs towards equity and ₹ 300.00 Lakhs towards 10% Compulsorily Convertible Debentures) from the Holding Company, carried as "Application Money Received Pending Allotment" under Other Equity. The classification of these amounts, the timing and certainty of allotment, and the consequential uncertainty arising from the pending application for modification of the approved Resolution Plan (which may require a refund) involved significant management judgment.	Our principal audit procedures included: - Obtained and read the underlying subscription arrangements and board resolutions, and traced the receipt of ₹ 500.00 Lakhs to bank statements; - Evaluated the Management's basis for presenting the amounts as application money pending allotment under Other Equity and the appropriateness thereof as at the reporting date; - Considered the terms governing refund in the event the modification of the Resolution Plan is not approved by the Hon'ble NCLT; and - Assessed the adequacy of the related disclosures in the Standalone Financial Statements.

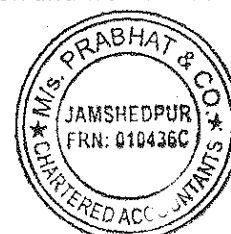
OTHER MATTER

The comparative financial information of the Company for the year ended 31st March, 2024 included in these Standalone Financial Statements was audited by the predecessor auditor, M/s Amit Kumar Surana & Company, Chartered Accountants (Firm Registration No. 332194E), whose report dated 30th May, 2024 expressed an unmodified opinion on those Standalone Financial Statements. Our opinion on the Standalone Financial Statements is not modified in respect of this matter.

OTHER INFORMATION

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the Standalone Financial Statements and our Auditor's Report thereon.

Our opinion on the Standalone Financial Statements does not cover the other information and we will not express any form of assurance conclusion thereon.



In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

MANAGEMENT'S AND BOARD OF DIRECTORS' RESPONSIBILITY FOR THE STANDALONE FINANCIAL STATEMENTS

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these Standalone Financial Statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Company in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Financial Statements, the Management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

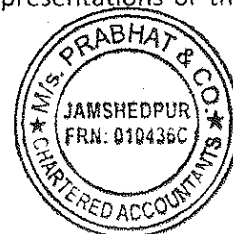
The Board of Directors is also responsible for overseeing the financial reporting process of the Company.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE STANDALONE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the Standalone Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.



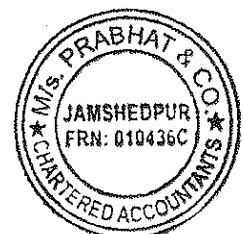
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to Standalone Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures in the Standalone Financial Statements made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's Report to the related disclosures in the Standalone Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's Report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Standalone Financial Statements that, individually or in the aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Standalone Financial Statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

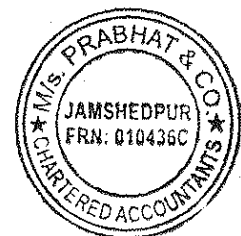
We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our Auditor's Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, based on our audit, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.
 - (d) In our opinion, the aforesaid Standalone Financial Statements comply with the Indian Accounting Standards prescribed under Section 133 of the Act.
 - (e) On the basis of the written representations received from the directors as on 31st March, 2025 and taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2025 from being appointed as a director in terms of Section 164(2) of the Act.
 - (f) With respect to the adequacy of the internal financial controls with reference to Standalone Financial Statements of the Company and the operating effectiveness of such controls, refer to our separate report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls with reference to Standalone Financial Statements.
 - (g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid/provided by the Company to its directors during the year is in accordance with the provisions of Section 197 of the Act.
 - (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company does not have any pending litigation which would impact its financial position in its Standalone Financial Statements, other than as disclosed in the Notes to the Standalone Financial Statements.
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.

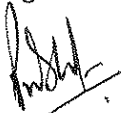


- iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- (b) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- (c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. No dividend has been declared or paid by the Company during the year. Accordingly, reporting on compliance with Section 123 of the Act is not applicable.
- vi. Based on our examination, which included test checks, the Company has used accounting software systems for maintaining its books of account for the financial year ended 31st March, 2025 which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with. Additionally, the audit trail has been preserved by the Company as per the statutory requirements for record retention.

For M/s. Prabhat & Co.

Chartered Accountants

Firm Registration No.: 010458C



(CA. Prabhat Kumar Sekseria)

Proprietor

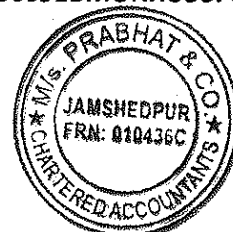
Place: Jamshedpur

Date: 30th May, 2025

Peer Review No - 19370

Membership No.: 400091

UDIN: 25400091BMONXU3876



ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in Paragraph 1 under "Report on Other Legal and Regulatory Requirements" section of our Report of even date on the Standalone Financial Statements of BKM INDUSTRIES LIMITED for the year ended 31st March, 2025)

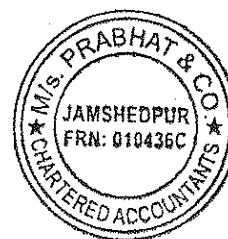
In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

(i) Property, Plant and Equipment and Intangible Assets

- (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation, of Property, Plant and Equipment. (B) The Company has maintained proper records showing full particulars of intangible assets.
- (b) The Company has a regular programme of physical verification of its Property, Plant and Equipment, by which all property, plant and equipment are verified in a phased manner over a period of time. In accordance with this programme, certain Property, Plant and Equipment were verified during the year and no material discrepancies were noticed on such verification. In our opinion, the periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets.
- (c) Based on our audit procedures and the information and explanations given to us, the title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the Company) disclosed in the Standalone Financial Statements are held in the name of the Company.
- (d) The Company has not revalued any of its Property, Plant and Equipment (including right-of-use assets) and intangible assets during the year.
- (e) There are no proceedings which have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.

(ii) Inventories and Working Capital Limits

- (a) The Management has conducted physical verification of inventory at reasonable intervals during the year. According to the information and explanations given to us and based on the audit procedures performed by us, the coverage and procedure of such verification by the Management is appropriate. The Company did not hold any inventory as at 31st March, 2025 and accordingly no discrepancies of 10% or more in the aggregate for each class of inventory were noticed on physical verification.
- (b) According to the information and explanations given to us, the Company has not been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets during the year. Accordingly, reporting on the agreement of quarterly returns or statements with the books of account is not applicable.



(iii) Investments, Loans, Guarantees and Securities

- (a) During the year, the Company has granted loans/advances in the nature of loans aggregating ₹ 78.77 Lakhs (year-end balance ₹ 78.77 Lakhs). The Company has not provided any guarantee or security to companies, firms, Limited Liability Partnerships or any other parties during the year. In our opinion, the terms and conditions of the loans granted are, prima facie, not prejudicial to the interest of the Company.
- (b) In our opinion, the investments made and the terms and conditions of the loans granted are not, prima facie, prejudicial to the Company's interest.
- (c) In respect of the loans granted, the schedule of repayment of principal and payment of interest, where stipulated, has been generally adhered to and the repayments/receipts are regular.
- (d) There is no overdue amount in respect of loans granted by the Company remaining outstanding as at the balance sheet date.
- (e) No loan granted by the Company which has fallen due during the year has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to the same parties.
- (f) The Company has not granted any loans either repayable on demand or without specifying any terms or period of repayment during the year, except as may be disclosed in the Notes to the Standalone Financial Statements.

(iv) Compliance with Sections 185 and 186

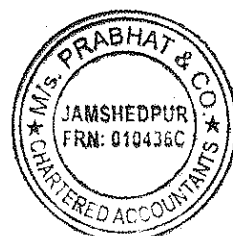
In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted, investments made and guarantees and securities provided, as applicable.

(v) Deposits

In our opinion and according to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits within the meaning of Sections 73 to 76 of the Act and the Rules framed thereunder. The share application money and the application money towards Compulsorily Convertible Debentures aggregating ₹ 500.00 Lakhs received from the Holding Company, pending allotment as referred to in Note 14, are linked to the modification of the approved Resolution Plan; the compliance with the timelines under the Companies (Acceptance of Deposits) Rules, 2014 in respect thereof is being monitored by the Management pending the outcome of the application before the Hon'ble NCLT.

(vi) Maintenance of Cost Records

We have broadly reviewed the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under sub-section (1) of Section 148 of the Act and are of the opinion that, prima facie, the prescribed cost accounts and records have been made and maintained. We have, however, not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.



(vii) Statutory Dues

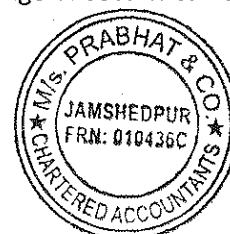
- (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, amounts deducted/accrued in the books of account in respect of undisputed statutory dues including Goods and Services Tax, Provident Fund, Employees' State Insurance, Income-tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, Cess and other material statutory dues have generally been regularly deposited during the year by the Company with the appropriate authorities, though there have been delays in a few cases. According to the information and explanations given to us, no undisputed amounts payable in respect of the aforesaid statutory dues were in arrears as at 31st March, 2025 for a period of more than six months from the date they became payable.
- (b) According to the information and explanations given to us, there are no dues of Goods and Services Tax, Income-tax, Sales Tax, Service Tax, duty of Customs, duty of Excise, Value Added Tax, or Cess which have not been deposited with the appropriate authorities on account of any dispute.

(viii) Unrecorded Income

There were no transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961). Accordingly, the provisions of clause 3(viii) of the Order are not applicable.

(ix) Borrowings

- (a) In our opinion and according to the information and explanations given to us, the Company has not defaulted in the repayment of loans or other borrowings or in the payment of interest thereon to any lender. The repayment obligations under the term loans which were restructured under the Resolution Plan approved by the Hon'ble NCLT vide order dated 19th September, 2023 have been serviced/discharged during the year in accordance with the terms of the approved Resolution Plan, and the current maturities of such long-term debt outstanding at the beginning of the year stand settled as at the reporting date.
- (b) According to the information and explanations given to us and on the basis of our audit procedures, the Company has not been declared a willful defaulter by any bank or financial institution or government or any government authority.
- (c) In our opinion and according to the information and explanations given to us, the term loans were applied for the purposes for which the loans were obtained.
- (d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the Standalone Financial Statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.
- (e) According to the information and explanations given to us and on an overall examination of the Standalone Financial Statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.
- (f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies.



(x) Initial Public Offer, Further Public Offer and Preferential Allotment

- (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, reporting under clause 3(x)(a) of the Order is not applicable.
- (b) During the year, the Company has received share application money of ₹ 200.00 Lakhs and application money of ₹ 300.00 Lakhs towards 10% Compulsorily Convertible Debentures from the Holding Company pursuant to the approved Resolution Plan, which are pending allotment as at the reporting date (Refer Note 14). As no allotment of shares or fully/partly convertible debentures has been made during the year, reporting on the requirements of clause 3(x)(b) of the Order in respect of such allotment does not arise as at the reporting date; the allotment, when made, will be subject to compliance with the applicable provisions of the Act.

(xi) Fraud and Whistle-Blower Complaints

- (a) Based on our examination of the books and records of the Company and according to the information and explanations given to us, considering the principles of materiality outlined in the Standards on Auditing, no fraud by the Company or on the Company has been noticed or reported during the course of our audit.
- (b) During the year, no report under sub-section (12) of Section 143 of the Companies Act, 2013 has been filed in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014, with the Central Government by the auditors.
- (c) As represented to us by the Management, no whistle-blower complaints have been received by the Company during the year.

(xii) Nidhi Company

In our opinion and according to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, the provisions of clause 3(xii) of the Order are not applicable to the Company.

(xiii) Related Party Transactions

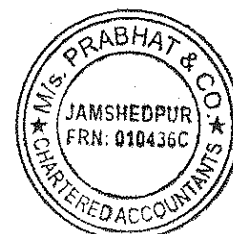
According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with Sections 177 and 188 of the Act, where applicable, and the details of such transactions have been disclosed in the Standalone Financial Statements as required by the applicable Indian Accounting Standards.

(xiv) Internal Audit System

- (a) In our opinion and based on our examination, the Company has an internal audit system commensurate with the size and nature of its business.
- (b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) Non-cash Transactions with Directors

According to the information and explanations given to us, in our opinion, during the year the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence the provisions of Section 192 of the Companies Act, 2013 are not applicable to the Company.



(xvi) Registration under the Reserve Bank of India Act, 1934

- (a) In our opinion, the Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) and (b) of the Order is not applicable.
- (b) The Company is not a Core Investment Company ("CIC") as defined in the regulations made by the Reserve Bank of India. Accordingly, the provisions of clause 3(xvi)(c) of the Order are not applicable.
- (c) Based on the information and explanations provided by the Management, the Group does not have any CIC as part of the Group. Accordingly, the provisions of clause 3(xvi)(d) of the Order are not applicable.

(xvii) Cash Losses

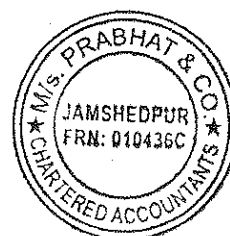
The Company has incurred cash losses of ₹ 217.25 Lakhs during the financial year covered by our audit and cash losses of ₹ 31.98 Lakhs in the immediately preceding financial year.

(xviii) Resignation of Statutory Auditors

There has been no resignation of the statutory auditors of the Company during the year. The previous year's Standalone Financial Statements were audited by the predecessor auditor, M/s Amit Kumar Surana & Company, Chartered Accountants (Firm Registration No. 332194E), and we were appointed as the statutory auditors of the Company for the year under report.

(xix) Material Uncertainty on Meeting Liabilities

According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the Standalone Financial Statements, our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, and having regard to the Resolution Plan approved by the Hon'ble NCLT, we report that, nothing has come to our attention which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of the balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date will get discharged by the Company as and when they fall due.



(xx) Corporate Social Responsibility ("CSR")

- (a) The provisions of Section 135 of the Companies Act, 2013 relating to Corporate Social Responsibility are not applicable to the Company for the year. Accordingly, reporting under clause 3(xx)(a) of the Order is not applicable.
- (b) As the provisions of Section 135 are not applicable, reporting under clause 3(xx)(b) of the Order is also not applicable.

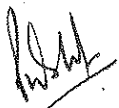
(xxi) Consolidated Financial Statements

Reporting under clause 3(xxi) of the Order is not applicable at the standalone level, as the comments by the respective auditors in their reports on the consolidated financial statements of the Company, if any, are required to be reported there.

For M/s. Prabhat & Co.

Chartered Accountants

Firm Registration No.: 010458C



(CA. Prabhat Kumar Sekseria)

Proprietor

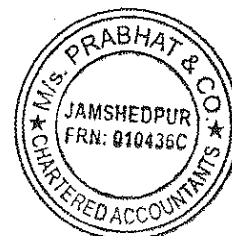
Place: Jamshedpur

Date: 30th May, 2025

Peer Review No - 19370

Membership No.: 400091

UDIN: 25400091BMONXU3876



ANNEXURE "B" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 2(f) under "Report on Other Legal and Regulatory Requirements" section of our Report of even date on the Standalone Financial Statements of BKM INDUSTRIES LIMITED for the year ended 31st March, 2025)

Report on the Internal Financial Controls with reference to Standalone Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

OPINION

We have audited the internal financial controls with reference to Standalone Financial Statements of BKM INDUSTRIES LIMITED ("the Company") as of 31st March, 2025 in conjunction with our audit of the Standalone Financial Statements of the Company for the year ended on that date.

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system with reference to Standalone Financial Statements and such internal financial controls with reference to Standalone Financial Statements were operating effectively as at 31st March, 2025, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

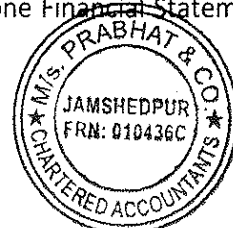
MANAGEMENT'S AND BOARD OF DIRECTORS' RESPONSIBILITY FOR INTERNAL FINANCIAL CONTROLS

The Company's Management and Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the Company's internal financial controls with reference to Standalone Financial Statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Standalone Financial Statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to Standalone Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Standalone Financial Statements



included obtaining an understanding of internal financial controls with reference to Standalone Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to Standalone Financial Statements.

MEANING OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO STANDALONE FINANCIAL STATEMENTS

A Company's internal financial controls with reference to Standalone Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial controls with reference to Standalone Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorisations of Management and Directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

INHERENT LIMITATIONS OF INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO STANDALONE FINANCIAL STATEMENTS

Because of the inherent limitations of internal financial controls with reference to Standalone Financial Statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Standalone Financial Statements to future periods are subject to the risk that the internal financial controls with reference to Standalone Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For M/s. Prabhat & Co.

Chartered Accountants

Firm Registration No.: 010458C

(CA. Prabhat Kumar Sekseria)

Proprietor

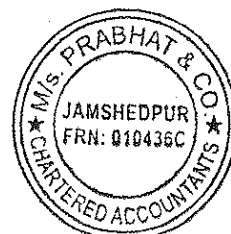
Place: Jamshedpur

Date: 30th May, 2025

Peer Review No - 19370

Membership No.: 400091

UDIN: 25400091BMONXU3876



Notes

Note 1-2

NOTE 1: CORPORATE INFORMATION

BKM Industries Limited ('the Company') is a Public Limited Company engaged primarily in the business of manufacturing and supply of Aluminium and Steel bottle caps, 2-piece & 3-piece cans. The Company has manufacturing plants across India and is listed on the Bombay Stock Exchange Limited (BSE) and National Stock Exchange of India Limited (NSE). The Company's registered office is at 2A, Ganesh Chandra Avenue, 2nd Floor, Room No - 11, Kolkata, West Bengal, India, 700013.

NOTE 2: BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

A. Basis of Preparation

a. Statement of Compliance

The financial statement of the Company has been prepared to comply with Indian Accounting Standard including the rules notified under the relevant provisions of the Companies Act, 2013.

b. Functional and presentation currency

These financial statements are presented in Indian Rupees (₹), which is the Company's functional currency. All amounts have been rounded to the nearest lakh, unless otherwise indicated.

c. Basis of Measurement

These financial statements have been prepared on a historical cost convention basis, except for the following:

- i. Certain financial assets and liabilities that are measured at fair value.
- ii. Assets held for sale- Measured at the lower of (a) carrying amount and (b) fair value less cost to sell.
- iii. Net defined benefit plans- Plan assets measured at fair value less present value of defined benefit obligation.

Determining the Fair Value

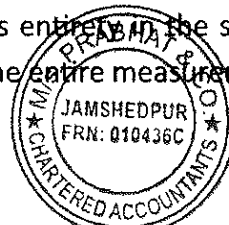
While measuring the fair value of an asset or a liability, the Company uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows.

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.



d. Critical Accounting Judgements and Key Sources of Estimation Uncertainty

The preparation of the financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, expenses and disclosures of contingent assets and liabilities at the date of these financial statements and the reported amounts of revenues and expenses for the years presented.

These judgments and estimates are based on management's best knowledge of the relevant facts and circumstances, having regard to previous experience, but actual results may differ materially from the amounts included in the financial statements. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and future periods affected. The information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are as given below:-

i. Impairment test of non financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating Units (CGU) fair value less costs of disposal and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent to those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

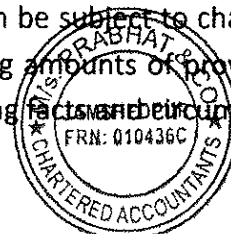
In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less cost of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

ii. Allowance for bad debts / expected credit loss

The Management makes estimates related to the recoverability of receivables, whose book values are adjusted through an allowance for Expected losses/ Provision for Doubtful debts. Management specifically analyses accounts receivable, customers' creditworthiness, current economic trends and changes in customer's collection terms when assessing the adequate allowance for Expected losses/ Provision for Doubtful debts, which are estimated over the lifetime of the debts.

iii. Recognition and measurement of Provisions and Contingencies

Provisions and liabilities are recognised in the year when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability require the application of judgement to existing facts and circumstances, which can be subject to change. Since the cash outflows can take place many years in the future, the carrying amounts of provisions and liabilities are reviewed regularly and adjusted to take account of changing facts and circumstances.



Contingencies

In the normal course of business, contingent liabilities may arise from litigation, taxation and other claims against the Company. Where it is management's assessment that the outcome cannot be reliably quantified or is uncertain, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote. Such liabilities are disclosed in the notes but are not provided for in the financial statements. When considering the classification of legal or tax cases as probable, possible or remote, there is judgement involved. Although there can be no assurance regarding the final outcome of the legal proceedings, the Company does not expect them to have a materially adverse impact on the Company's financial position.

iv. Recognition of Deferred Tax Assets

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with business developments.

v. Measurements of Defined benefit obligations plan

The Cost of the defined benefit plan and other post-employment benefits and the present value of such obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and attrition rate.

vi. Impairment of financial assets

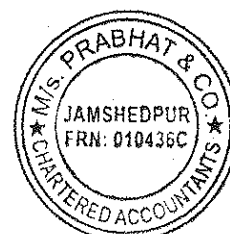
The impairment provisions for financial assets are based on assumptions about risk of default and expected cash loss. The Company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting year.

vii. Income Taxes

There are transactions and calculations for which the ultimate tax determination is uncertain and would get finalised on completion of assessment by tax authorities. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax in the year in which such determination is made.

viii. Depreciation / Amortisation and useful lives of Property Plant and Equipment (PPE) / Intangible Assets

PPE / intangible assets are depreciated / amortised over their estimated useful lives, after taking into account estimated residual value. Management reviews the estimated useful lives and residual values of the assets annually in order to determine the amount of depreciation to be recorded during any reporting period. The useful lives and residual values are based on the Company's historical experience with similar assets and take into account anticipated technological changes. The depreciation /amortisation for future periods are revised if there are significant changes from previous estimates.



ix. Exceptional items

Exceptional items are those items that management considers, by virtue of their size or incidence, should be disclosed separately to ensure that the financial information allows an understanding of the underlying performance of the business in the year, so as to facilitate comparison with prior periods. Such items are material by nature or amount to the year's result and / or require separate disclosure in accordance with Ind AS. The determination as to which items should be disclosed separately requires a degree of judgement. The details of exceptional items are set out in note 30.

e. Current and non-current classification

The Company presents assets and liabilities in statement of financial position based on current/ non-current classification. The Company has presented non-current assets and current assets before equity, non-current liabilities and current liabilities in accordance with Schedule III, Division II of Companies Act, 2013 notified by MCA.

An asset is classified as current when it is:

- i.Expected to be realised or intended to be sold or consumed in normal operating cycle,
- ii.Held primarily for the purpose of trading,
- iii.Expected to be realised within twelve months after the reporting year, or
- iv.Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting year.

All other assets are classified as non-current.

A liability is classified as current when it is:

- i.Expected to be settled in normal operating cycle,
- ii.Held primarily for the purpose of trading,
- iii.Due to be settled within twelve months after the reporting year, or
- iv.There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting year.

The Company classifies all other liabilities as non-current.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. Deferred tax assets and liabilities are classified as non-current assets and liabilities. The Company has identified twelve months as its normal operating cycle.

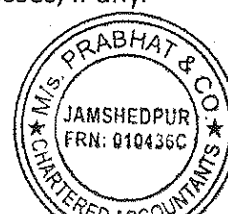
B. Significant Accounting Policies

a. Property, Plant and Equipment:

i. Recognition and measurement

Property, Plant and equipment are measured at cost (which includes capitalised borrowing costs) less accumulated depreciation and accumulated impairment losses, if any.

The cost of an item of property, plant and equipment comprises:



- i. its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- ii. any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management.
- iii. the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment and depreciated accordingly.

Any gain or loss on disposal of an item of property, plant and equipment is recognised in Statement of profit or loss.

Capital work-in-progress includes cost of property, plant and equipment under installation / under development as at the balance sheet date.

Leasehold lands are amortised over the period of lease. Buildings constructed on leasehold land are depreciated based on the useful life specified in schedule II to the Companies Act, 2013, where the lease period of land is beyond the life of the building. In other cases, buildings constructed on leasehold lands are amortised over the primary lease period of the lands.

On transition to Ind AS as on April 1, 2015 the Company has elected to measure certain items of Property, Plant and Equipment [Freehold Land, Building and Plant and Equipment's] at Fair Value and for other Property, Plant and Equipment these are measure at cost as per Ind AS. The same are considered as deemed cost on the date of transition to Ind AS.

ii. Subsequent expenditure

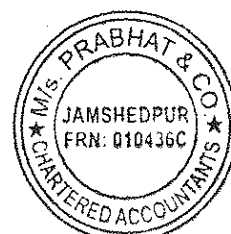
Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

iii. Depreciation, estimated useful life and estimated residual value

Depreciation is calculated using the straight-line Method, pro rata to the period of use, taking into account useful lives and residual value of the assets. The useful life of assets & the estimated residual value, which are different from those prescribed under Schedule II to the Companies Act, 2013, are based on technical advice as under:

Depreciation is computed with reference to cost.

The assets residual value and useful life are reviewed and adjusted, if appropriate, at the end of each reporting year. Gains and losses on disposal are determined by comparing proceeds with carrying amounts. These are included in the statement of Profit and Loss.



b. Intangible Assets

Identifiable intangible assets are recognised when it is probable that future economic benefits attributed to the asset will flow to the Company and the cost of the asset can be reliably measured. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

i. Recognition and measurement

Computer software's have finite useful lives and are measured at cost less accumulated amortisation and any accumulated impairment losses.

Acquired brands / Trademarks have indefinite useful life and as on transition date April 1, 2015 have been Fair valued based on reports of expert valuer, which is considered as deemed cost on transition to Ind AS. The same are tested for impairment, if any , at the end of each accounting year.

ii. Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, when incurred is recognised in statement of profit or loss.

iii. Amortisation

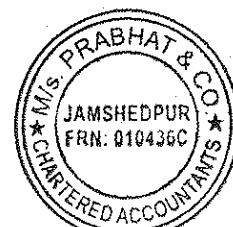
Amortisation is calculated to write off the cost of intangible assets less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognised in statement of profit or loss. Computer software are amortised over their estimated useful life or 5 years, whichever is lower. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if required.

c. Impairment of assets

An asset is considered as impaired when at the date of Balance Sheet, there are indications of impairment and the carrying amount of the asset, or where applicable, the cash generating unit to which the asset belongs, exceeds its recoverable amount (i.e. the higher of the net asset selling price and value in use). The carrying amount is reduced to the recoverable amount and the reduction is recognised as an impairment loss in the statement of profit and loss. The impairment loss recognised in the prior accounting period is reversed if there has been a change in the estimate of recoverable amount. Post impairment, depreciation is provided on the revised carrying value of the impaired asset over its remaining useful life.

d. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one Company and a financial liability or equity instrument of another Company. Financial instruments also include derivative contracts such as foreign currency foreign exchange forward contracts, interest rate swaps and currency options.



i. Financial assets

Initial recognition and measurement

All financial assets are initially recognised at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets, which are not at fair value through profit or loss, are adjusted to the fair value on initial recognition. Financial assets are classified, at initial recognition, as financial assets measured at fair value or as financial assets measured at amortised cost.

Subsequent Measurement

Financial Assets measured at Amortised Cost (AC)

A Financial Asset is measured at Amortised Cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represent solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Other Comprehensive Income (FVTOCI)

A Financial Asset is measured at FVTOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling Financial Assets and the contractual terms of the Financial Asset give rise on specified dates to cash flows that represents solely payments of principal and interest on the principal amount outstanding.

Financial Assets measured at Fair Value Through Profit or Loss (FVTPL)

A Financial Asset which is not classified in any of the above categories are measured at FVTPL. Financial assets are reclassified subsequent to their recognition, if the Company changes its business model for managing those financial assets. Changes in business model are made and applied prospectively from the reclassification date which is the first day of immediately next reporting period following the changes in business model in accordance with principles laid down under Ind AS 109 – Financial Instruments.

In case of investments

In Equity instruments

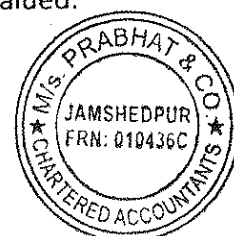
- For subsidiaries, associates and Joint ventures - Investments are measured at cost and tested for impairment periodically. Impairment (if any) is charged to the Statement of Profit and Loss.
- For Other than subsidiaries, associates and Joint venture - Investments are measured at Fair value through Other Comprehensive Income [FVTOCI].

In Mutual fund

Measured at Fair value through Profit and Loss (FVTPL).

Guarantee Commission

Guarantees extended to subsidiaries, associates and Joint ventures are Fair Valued.



Debt instruments

The Company measures the debt instruments at Amortised Cost. Assets that are held for collection of contractual cash flows where those cash flows represent solely payment of principal and interest [SPPI] are measured at amortised cost. A gain or loss on a debt investment that is subsequently measured at amortised cost and is not part of the hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in finance income using the Effective interest rate method.

Derecognition of financial assets

The Company derecognises a financial asset when the contractual rights to cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

Impairment of financial assets

In accordance with Ind-AS 109, the Company applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss on the following financial asset and credit risk exposure:

- i. Financial assets that are debt instruments and are measured at amortised cost e.g., loans, debt securities, deposits, and bank balance.
- ii. Trade receivables The Company follows 'simplified approach' for recognition of impairment loss allowance on:

- Trade receivables which do not contain a significant financing component. The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

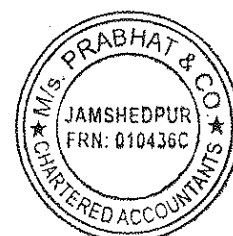
- For recognition of impairment loss on other financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. Expected Credit Loss Model is used to provide for impairment loss.

ii. Financial liabilities Classification

The Company classifies its financial liabilities in the following measurement categories:

- those to be measured subsequently at fair value through profit and loss-[FVTPL]; and
- those measured at amortised cost. [AC]

The classification depends on the Company's business model for managing the financial assets and the contractual terms of the cash flows.



Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss or at amortised cost.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, financial guarantee contracts and derivative financial instruments.

Subsequent measurement

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts are approximate at their fair value due to the short maturity of these instruments.

Financial liabilities at fair value through profit or loss [FVTPL]

Financial liabilities at fair value through profit or loss [FVTPL] include financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by Ind-AS 109. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the profit or loss.

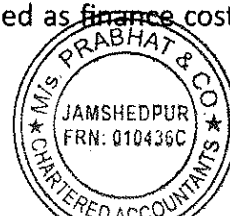
Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, only if the criteria in Ind-AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risk are recognised in OCI. These gains/losses are not subsequently transferred to statement of profit or loss. However, the Company may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognised in the statement of profit or loss.

Loans and borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of borrowings using the effective interest method. Processing/Upfront fee are treated as prepaid asset netted off from borrowings. The same is amortised over the period of the facility to which it relates.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.



This category generally applies to interest-bearing loans and borrowings.

Borrowings are derecognised from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of the financial liability that has been extinguished or transferred to another party and the consideration paid including any non-cash assets transferred or liability assumed, is recognised in Statement of profit or loss as other gains or (losses).

Borrowings are classified as current liabilities unless the Company has an unconditional right to defer the settlement of liabilities for at least twelve months after the reporting year.

Where there is a breach of a material provision of a long term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the same is classified as current unless the lender agreed, after the reporting year and before the approval of financial statements for issue, not to demand payment as a consequence of the breach.

Trade and other payable

These amounts represent liabilities for goods and services provided to the Company prior to the end of financial year which are unpaid at the year end. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting year. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

Derecognition

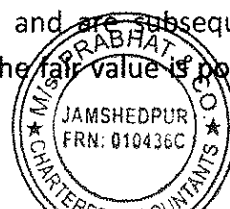
A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

Derivative financial instruments

The Company uses derivative financial instruments, such as forward currency contracts, interest rate swaps and forward commodity contracts to hedge its foreign currency risks, interest rate risks and commodity price risks respectively. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.



Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined and the amount recognised less cumulative amortisation.

e. Inventories

Inventories are measured at the lower of cost and net realisable value after providing for obsolescence, if any, except for Stock-in-Trade [which are measured at Fair value] and Realisable by-products [which are measured at net realisable value]. The cost of inventories is determined using the weighted average method and includes expenditure incurred in acquiring inventories, production or conversion and other costs incurred in bringing them to their respective present location and condition. In the case of manufactured inventories and work in progress, cost includes an appropriate share of production overheads based on normal operating capacity. The comparison of cost and Net Realisable value is made on an item by item basis.

Net realisable value is estimated selling price in the ordinary course of business, less estimated cost of completion and the estimated costs necessary to make the sale. The net realisable value of work in progress is determined with reference to selling prices of finished products.

f. Cash And Cash Equivalent

For the purpose of presentation in the statement of the cash flows, cash and cash equivalent includes the cash on hand, deposits held at call with financial institutions other short term, highly liquid investments with original maturity of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

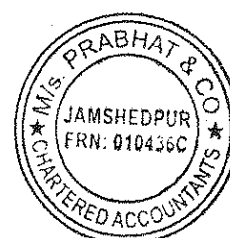
Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information.

g. Contributed Equity

Equity shares are classified as equity. Incidental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds.

h. Dividends

Annual dividend distribution to the shareholders is recognised as a liability in the period in which the dividends are approved by the shareholders. Any interim dividend paid is recognised on approval by Board of Directors. Dividend payable and corresponding tax on dividend distribution is recognised directly in other equity.



i. Earnings per share

i. Basic earnings per share

Basic earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares, (excluding treasury shares).

ii. Diluted earnings per share

Diluted earnings per shares is calculated by dividing Profit/(Loss) attributable to equity holders (adjusted for amounts directly charged to Reserves) before/ after Exceptional Items (net of tax) by Weighted average number of Equity shares (excluding treasury shares) considered for basic earning per shares including dilutive potential Equity shares.

j. Foreign Currency

i. Foreign currency transactions

Transactions in foreign currencies are translated into the functional currencies of the Company at the exchange rate prevailing at the date of the transactions. Monetary assets (other than investments in companies registered outside India) and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date.

Investments in companies registered outside India are converted at rate prevailing at the date of acquisition. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are not translated.

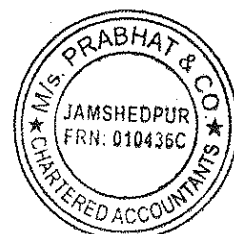
Difference on account of changes in foreign currency are generally charged to the statement of profit & loss except the following:

The Company has availed the exemption available under Para D13AA of Ind AS - 101 of "First time adoption of Indian Accounting Standards". Accordingly, exchange gains and losses on foreign currency borrowings taken prior to April 1, 2016 which are related to the acquisition or construction of qualifying assets are adjusted in the carrying cost of such asset.

k. Revenue recognition

The Company derives revenues primarily from sale of manufactured goods, traded goods and related services.

In Compliance with Ind AS 20 on Government Grants and consequent to issuance of Education Material by The Institute of Chartered Accounts of India on Ind AS 115, the amount of export incentives have been reclassified from "Other Operating Revenue" to "Other Income".



i. Sale of Goods/ Services

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration entitled in exchange for those goods or services. Generally, control is transfer upon shipment of goods to the customer or when the goods is made available to the customer, provided transfer of title to the customer occurs and the Company has not retained any significant risks of ownership or future obligations with respect to the goods shipped.

Revenue from rendering of services is recognised over the time by measuring the progress towards complete satisfaction of performance obligations at the reporting period.

Revenue is measured at the amount of consideration which the Company expects to be entitled to in exchange for transferring distinct goods or services to a customer as specified in the contract, excluding amounts collected on behalf of third parties (for example taxes and duties collected on behalf of the government). Consideration is generally due upon satisfaction of performance obligations and receivable is recognised when it becomes unconditional.

The Company does not have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, it does not adjust any of the transaction prices for the time value of money.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and claims, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

Contract balances

Trade receivables

A receivable represents the Company's right to an amount of consideration that is unconditional.

Contract liabilities

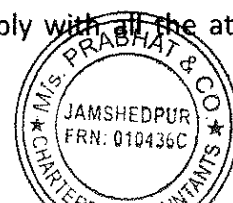
A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognised when the payment is made. Contract liabilities are recognised as revenue when the Company performs under the contract.

ii. Other Income

Other income is comprised primarily of interest income, dividend income, gain/loss on investments and gain/loss on foreign exchange and on translation of other assets and liabilities. Interest income is recognised using the effective interest method. Claims for export incentives/ duty drawbacks, duty refunds and insurance are accounted when the right to receive payment is established.

i. Government Grants

- i. Grants from the Government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Company will comply with all the attached conditions.



- ii. Government grant relating to purchase of Property, Plant and Equipment are included in "Other current/ non-current liabilities" as Government Grant - Deferred Income and are credited to Profit or loss on a straight line basis over the expected life of the related asset and presented within "Other operating Income".

m. Employee Benefits

i. During Employment benefits

i. Short term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

ii. Post Employment benefits

i. Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which a Company pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts. The Company makes specified monthly contributions towards government administered Provident Fund scheme.

Obligations for contributions to defined contribution plans are expensed as the related service is provided. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

ii. Defined benefit plans

The Company pays gratuity to the employees who have completed five years of service with the company at the time when employee leaves the Company. The gratuity is paid as per the provisions of Payment of Gratuity Act, 1972.

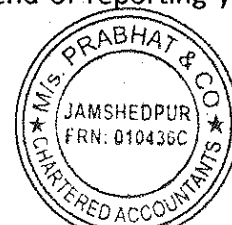
The gratuity liability amount is contributed to the approved gratuity fund formed exclusively for gratuity payment to the employees.

The liability in respect of gratuity and other post-employment benefits is calculated using the Projected Unit Credit Method and spread over the periods during which the benefit is expected to be derived from employees' services.

Re-measurement of defined benefit plans in respect of post employment are charged to Other Comprehensive Income.

iii. Termination benefits

Termination benefits are payable when employment is terminated by the Company before the normal retirement date or when an employee accepts voluntary redundancy in exchange for these benefits. In case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than twelve months after the end of reporting year are discounted to the present value.



n. Income Taxes

Income tax expense comprises current and deferred tax. Tax is recognised in statement of profit and loss, except to the extent that it relates to items recognised in the other comprehensive income or in equity. In which case, the tax is also recognised in the other comprehensive income or in equity.

i. Current tax

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, based on tax rates and laws that are enacted or subsequently enacted at the Balance sheet date.

Current tax assets and liabilities are offset only if, the Company:

- i. has a legally enforceable right to set off the recognised amounts; and
- ii. intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current tax provision is computed for income calculated after considering allowances and exemptions under the provisions of the applicable Income Tax Laws. Current tax assets and current tax liabilities are off set, and presented as net.

ii. Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the year in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have enacted or substantively enacted by the end of the reporting year. The carrying amount of Deferred tax liabilities and assets are reviewed at the end of each reporting year. Deferred tax is recognised to the extent that it is probable that future taxable profit will be available against which they can be used.

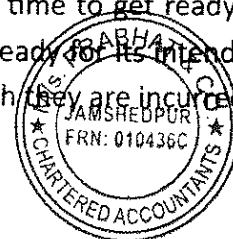
The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset only if:

- i. the Company has a legally enforceable right to set off current tax assets against current tax liabilities; and
- ii. the deferred tax assets and the deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable Company.

o. Borrowing Costs

General and specific Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that necessarily takes a substantial period of time to get ready for its intended use are capitalised as part of the cost of that asset till the date it is ready for its intended use or sale. Other borrowing costs are recognised as an expense in the year in which they are incurred.



Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing cost eligible for capitalisation. All other borrowing costs are charged to the statement of profit and loss for the year for which they are incurred.

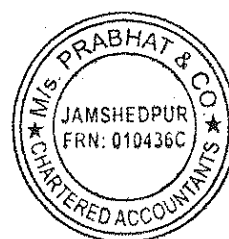
p. Leases

The Company, as a lessee, recognises a right-of-use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Company has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset. The cost of the right-of-use asset shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date plus any initial direct costs incurred. The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate. For short-term and low value leases, the Company recognises the lease payments as an operating expense on a straight-line basis over the lease term.

q. Non- Current assets held for sale:

Non-current assets are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when a sale is highly probable from the date of classification, management are committed to the sale and the asset is available for immediate sale in its present condition. Non-current assets are classified as held for sale from the date these conditions are met and are measured at the lower of carrying amount and fair value less cost to sell. Any resulting impairment loss is recognised in the Statements of Profit and Loss as a separate line item. On classification as held for sale, the assets are no longer depreciated. Assets and liabilities classified as held for sale are presented separately as current items in the Balance Sheet.



r. Provisions and contingent liabilities

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event. It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are discounted using equivalent period government securities interest rate. Unwinding of the discount is recognised in the statement of profit and loss as a finance cost. Provisions are reviewed at each balance sheet date and are adjusted to reflect the current best estimate.

Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle or a reliable estimate of the amount cannot be made. Information on contingent liability is disclosed in the Notes to the Financial Statements.

Contingent assets are not recognised. However, when the realisation of income is virtually certain, then the related asset is no longer a contingent asset, but it is recognised as an asset.

s. Segment reporting

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, whose operating results are regularly reviewed by the company's chief operating decision maker to make decisions for which discrete financial information is available. Based on the management approach as defined in Ind AS 108, the chief operating decision maker evaluates the Company's performance and allocates resources based on an analysis of various performance indicators by business segments and geographic segments.

t. Biological Assets

Biological Assets are measured at fair value less costs to sell, with any changes therein recognised in the Statement of Profit & Loss.

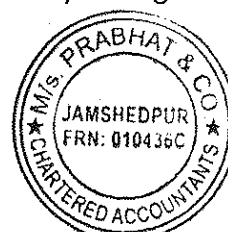
u. Fair value measurement:

The Company measures financial instruments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

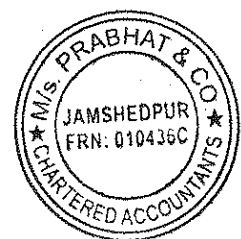
- i. In the principal market for the asset or liability, or
- ii. In the absence of a principal market, in the most advantageous market for the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.



The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy.



BKM INDUSTRIES LIMITED
2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)
BALANCE SHEET as on 31.03.2025

		(INR' Lakhs)	
Particulars	Note No.	As at 31st-Mar-25	As at 31st-Mar-24
I. ASSETS			
1. Non-current assets			
(a) Property, Plant and Equipment	3	693.83	746.94
(b) Capital Work-in-Progress	3	-	-
(c) Intangible assets under development		-	-
(d) Financial Assets			
(i) Investments	4	0.17	0.17
(ii) Loans	6	-	-
(iii) Other financial assets	7	-	-
(e) Deferred tax assets (net)	8	1.82	21.94
(f) Other non-current assets	9	-	-
2. Current assets			
(a) Inventories	10	-	1.08
(b) Financial Assets			
(i) Trade receivables	5	32.39	5.63
(ii) Cash & cash equivalents	11	14.13	4.57
(iii) Bank balances other than (ii) above	11	-	-
(iv) Loans	6	78.77	-
(c) Current Tax Assets (net)	12	13.41	1.28
(d) Other current assets	9	225.92	-
3. Non-current assets held for Sale	3	69.49	2,448.58
TOTAL ASSETS		1,129.93	3,230.18
II. EQUITY AND LIABILITIES			
1. Equity			
(a) Equity Share Capital	13	12.35	12.35
(b) Other Equity	14	-184.93	-149.78
2. Liabilities			
(i) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	-	-
(ii) Other financial liabilities	17	-	-
(b) Provisions	19	-	-
(c) Deferred tax liabilities (net)	8	-	-
(d) Other non-current liabilities	18	-	-
(ii) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	15	1,280.30	-
(ii) Trade payables	16	-	-
(A) Total outstanding dues of micro enterprises and small enterprises		-	-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises		-	-
(iii) Other financial liabilities	17	-	2,932.76
(b) Other current liabilities	18	22.20	434.84
(c) Provisions	19	-	-
TOTAL EQUITY AND LIABILITIES		1,129.93	3,230.18

Notes forming an integral part of financial statements

1 to 32

As per our report of even date attached

For M/s. Prabhat & Co.
Chartered Accountants
Firm Regn. No. :- 010458C

CA Prabhat Kumar Sekseria
(Proprietor)
Membership No: 400091
UDIN: 25400091BMONXU3876
Peer Review No. 19370
Date : 30.05.2025
Place: Jamshedpur

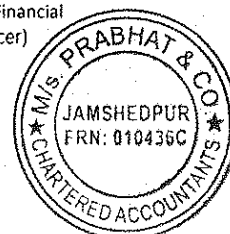
For and on behalf of the Board

DAYAAN HABIB FAROOQUI
(Whole-time director)
(DIN - 10489051)

AMIT SINGH
(Whole-time director)
(DIN - 11003471)

ADITYA FOGLA
(Company Secretary)

KISHAN KEJRIWAL
(Chief Financial Officer)



STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 2025

(INR' Lakhs)

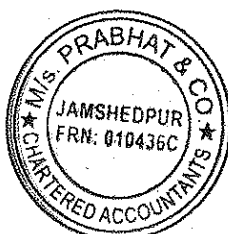
Particulars	Note No.	For the year ended 31st March, 2025	For the year ended 31st March, 2024
I. Income			
Revenue from Operations	20	6.10	92.53
Other Income	21	9.09	10.05
Other Gains/(Losses)	22	5.42	3.80
Rounding Off		-	-
Total Income		20.61	106.39
II. Expenses			
Changes in Inventories (increase) /decrease	23	1.08	31.75
Depreciation and Amortization expenses	3	78.57	172.79
Operating and Manufacturing Expenses	24	7.02	-
Employee Benefit Expenses	25	20.61	-
Finance cost	26	20.28	0.10
Other Expenses	27	408.06	128.46
Total expenses		535.62	333.10
III. Profit Before exceptional items and tax		-515.02	-226.71
Exceptional items		-	-
IV. Profit Before Taxes		-515.02	-226.71
V. Tax Expenses			
(a) Current Tax		-	-
(b) Deferred Tax Expenses/(Income)		41.67	-21.94
(c) Income Tax of Earlier Years		0.01	-
VI. Profit (Loss) from continuing operations		-556.70	-204.78
Profit (loss) from discontinued operations before tax		-	-
Tax expense of discontinued operations		-	-
VII. Profit (Loss) from discontinued operations (after tax)		-	-
VIII. Profit (Loss) for the year		-556.70	-204.78
IX. Other Comprehensive Income			
A (i) Items that will not be reclassified to profit or loss :			
(a) Revaluation Surplus of Property Plant & Equipment		-	-
(b) Re-measurement of defined employee benefit plans		-	-
(ii) Income tax relating to items that will not be reclassified to profit or loss :			
(a) on Revaluation Surplus on Property, Plant & Equipment		-	-
(b) on Re-measurement of defined employee benefit plans		-	-
B (i) Items that will be reclassified to profit or loss :			
(a) Changes in investments other than equity shares carried at Fair Value through OCI (FVOCI)		-	-
(ii) Income tax relating to items that will be reclassified to profit or loss :		-	-
X. Total Other comprehensive Income after tax		-	-
XI. Total comprehensive income for the period		-556.70	-204.78
XII. Earnings per equity share (for continuing operation):			
(1) Basic		-45.07	-16.58
(2) Diluted		-45.07	-16.58
XIII. Earnings per equity share (for discontinued operation):			
(1) Basic		-45.07	-16.58
(2) Diluted		-45.07	-16.58
XIV. Earnings per equity share (for continuing & discontinued operations):			
(1) Basic		-45.07	-16.58
(2) Diluted		-45.07	-16.58

Notes forming an integral part of financial statements

1 to 32

As per our report of even date attached
For M/s. Prabhat & Co.
Chartered Accountants
Firm Regn. No. :- 010458C

CA Prabhat Kumar Sekseria
(Proprietor)
Membership No: 400091
UDIN: 25400091BMONXU3876
Peer Review No. 19370
Date : 30.05.2025
Place: Jamshedpur



For and on behalf of the Board

DAYAAN HABIB FAROOQUI

(Whole-time director)

(DIN - 10489051)

Aditya Vikram Fogla

ADITYA FOGLA

(Company Secretary)

AMIT SINGH

(Whole-time director)

(DIN - 11003471)

Kishan Kejriwal

KISHAN KEJRIWAL

(Chief Financial Officer)

BKM INDUSTRIES LIMITED
2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)
STATEMENT OF CASH FLOWS

(INR' Lakhs)

Particulars	Year Ended 31st March 2025	Year Ended 31st March 2024
A Operating Activities		
Profit before tax from continuing operations	-515.02	-226.71
Profit/(loss) before tax from discontinuing operations	-	-
Profit before tax	-515.02	-226.71
Adjustments for:		
Depreciation on Property, Plant and Equipment	78.57	172.79
Amortisation of intangible assets	-	-
Finance Cost (including fair value changes in financial instruments)	-	-
Net foreign exchange differences	-	-
Interest Income (including fair value changes in financial instruments)	-9.09	-10.05
Dividend Income	-	-
Provision for Gratuity	-	-
(Profit)/Loss on sales of Property, Plant and Equipment	-	-
Net (Gain)/Loss on remeasurement of Financial Assets carried FVTPL	219.21	-3.80
Changes due to amortisation and interest on lease-hold assets under Ind AS-116	-	-
Operating profit / (loss) before working capital changes	-226.33	-67.77
Working capital adjustments:		
Decrease/(Increase) in Trade receivables	-26.77	-5.63
Decrease/(Increase) in Loans	-78.77	-
Decrease/(Increase) in Inventories	1.08	31.74
Decrease/(Increase) in Other financial assets	-	-
Decrease/(Increase) in Current Tax assets	-12.13	-
Decrease/(Increase) in Other current assets	-225.93	-
(Decrease)/Increase in Trade payables	-	-
(Decrease)/Increase in Other financial liability	-382.63	18.63
(Decrease)/Increase in Other current liability	-412.64	-4.59
(Decrease)/Increase in Provisions	-	-
	-1,364.10	-27.62
Income taxes paid	-	-
NET CASH INFLOW (OUTFLOW) FROM OPERATING ACTIVITIES (A)	-1,364.10	-27.62
B Investing Activities		
Purchase of Property, Plant and Equipment	-	-
Purchase of Intangible Assets	-	-
Changes in Capital Work In Progress	-	-
Invested in FD	-	-
Sale of Property, Plant and Equipment	2,134.41	3.80
(Purchase)/Sale of Investments	-	-
Interest received (finance income)	9.09	10.05
Dividend received	-	-
NET CASH INFLOW (OUTFLOW) FROM INVESTING ACTIVITIES (B)	2,143.50	13.85
C Financing Activities		
Proceeds from issue of equity shares	500.00	-
Interest paid	-	-
Proceeds/(Repayment) from borrowings	-1,269.84	-
Dividends paid including Dividend Distribution Tax	-	-
NET CASH INFLOW (OUTFLOW) FROM FINANCING ACTIVITIES (C)	-769.84	-
Net increase (decrease) in cash and cash equivalents (A+B+C)	9.56	-13.77
Cash and cash equivalents at the beginning of the year	4.57	18.34
Cash and cash equivalents at year end	14.14	4.57

This statement of cash flows have been prepared as per indirect method as prescribed under Ind AS 7 "Statement of Cash Flows".

As per our report of even date attached

For M/s. Prabhat & Co.

Chartered Accountants

Firm Regn. No. : - 010458C

CA Prabhat Kumar Sekseria

(Proprietor)

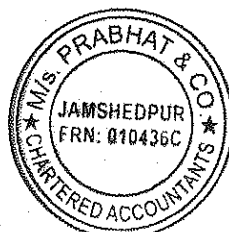
Membership No: 400091

UDIN: 25400091BMONXU3876

Peer Review No. 19370

Date : 30.05.2025

Place: Jamshedpur



DAYAAN HABIB FAROOQUI

(Whole-time director)

(DIN - 10489051)

Aditya Fogla

ADITYA FOGLA
(Company Secretary)

AMIT SINGH

(Whole-time director)

(DIN - 11003471)

Kishan Kejriwal

KISHAN KEJRIWAL
(Chief Financial Officer)

STATEMENT OF CHANGES IN EQUITY

(INR Lakhs)

A. Equity Share Capital

Particulars	Amount
As at 31 March 2023	655.34
Changes in equity share capital	-642.99
As at 31 March 2024	12.35
Changes in equity share capital	-
As at 31 March 2025	12.35

B. Other Equity

Particulars	Attributable to owners of BKM Industries Limited						
	Reserves & Surplus			Other Comprehensive Income	Share Application Money Received pending Allotment	Debtenture Application Money Received pending Allotment	Total other equity
	Capital Reserves	General Reserves	Securities Premium				
Balance at 31 March 2023	5.00	6,169.59	4,171.20	-11,257.62	1,460.00		548.17
Profit for the year	-	-	-	-204.77	-		-204.77
Other comprehensive income	-	-	-	-	-		-
Total comprehensive income for the year	-	-	-	-204.77	-		-204.77
Other Adjustments	-5.00	-6,169.59	-4,171.20	11,312.61	-1,460.00		-493.17
Issue of equity shares	-	-	-	-	-		-
Dividends paid	-	-	-	-	-		-
Balance at 31 March 2024	-	-	-	-149.77	-		-149.77
Profit for the year	-	-	-	-556.70	-		-556.70
Other comprehensive income	-	-	-	-	-		-
Total comprehensive income for the year	-	-	-	-556.70	-		-556.70
Other Adjustments	-	-	-	21.55	-		21.55
Issue of equity shares	-	-	-	-	-	200.00	500.00
Dividends paid	-	-	-	-	-	300.00	-
Balance at 31 March 2025	-	-	-	-684.92	200.00	300.00	-184.92

As per our report of even date attached

For M/s. Prabhat & Co.

Chartered Accountants

Firm Reg No: 1010458C

CA Prabhat Kumar Sekheria

(Proprietor)

Membership No: 400091

UDIN: 25400091BMONXU3876

Peer Review No. 19370

Date : 30.05.2025

Place: Jamshedpur

For and on behalf of the Board

Amit Singh

AMIT SINGH

(Whole-time director)

(DIN - 11003471)

DAYAAN HABIB FAROOQUI

(Whole-time director)

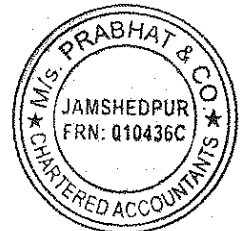
(DIN - 10489051)

ADITYA FOGLA

(Company Secretary)

KISHAN KEIRIWA

(Chief Financial Officer)



Notes to the Standalone Financial Statements

Note - 3: PROPERTY, PLANT AND EQUIPMENT

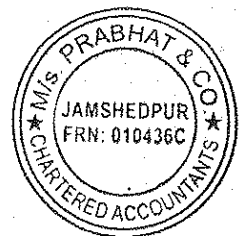
(INR' Lakhs)

Particulars	Freehold Land	Buildings (Freehold & leasehold)	Furniture, Fittings and Equipment	Plant and Machinery	Office Equipment	Vehicles	TOTAL	Capital Work in-Progress
Gross Carrying Amount								
At 31st March, 2023	2,267	1,580	485	6,933	277	162	11,704	344
Additions/Adjustments during the year	254	(1,166)	(485)	(6,232)	(277)	(162)	(8,068)	(344)
Disposals/ Adjustments during the year	-	-	-	(269)	-	-	(269)	-
At 31st March, 2024	2,521.02	414.58	-	432.69	-	-	3,368.30	-
Additions/Adjustments during the year	(2,101)	(168)	-	(85)	-	-	(2,354)	-
Disposals/ Adjustments during the year	419.87	246.96	-	347.84	-	-	1,014.68	-
At 31st March, 2025	-	-	-	-	-	-	-	-
Accumulated Depreciation and Impairment								
At 31st March, 2023	-	1,113	485	6,275	277	162	8,313	-
Additions/Adjustments during the year	-	(1,113)	(485)	(6,275)	(277)	(162)	(8,313)	-
Depreciation charge for the year	-	16	-	157	-	-	173	-
Disposals during the year	-	-	-	-	-	-	-	-
At 31st March, 2024	-	16	-	157	-	-	173	-
Additions/Adjustments during the year	-	-	-	-	-	-	-	-
Depreciation charge for the year	-	29	-	50	-	-	79	-
Disposals during the year	-	-	-	-	-	-	-	-
At 31st March, 2025	-	45	-	207	-	-	251	-

Net Book Value At 31st March, 2023

Net Book Value At 31st March, 2024

Net Book Value At 31st March, 2025



Net Book Value:

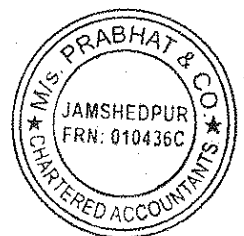
Particulars	As at	As at
	31st March 2025	31st March 2024
	INR' Lakhs	INR' Lakhs
Property, Plant and Equipment (PPE)		
(a) PPE other than held for sale	694	747
(b) PPE held for sale	69	2,449
Capital Work-in-progress	-	-
Intangible Assets	763	3,196

The details of Assets held for sale as at end of each period is as below :-

Particulars	As at	As at
	31st March 2025	31st March 2024
	INR' Lakhs	INR' Lakhs
(i) Property, Plant and Equipment		
Opening Balance/Deemed Cost	2,449	67
(+) Additions	-	2,382
(-) Deletions	-2,379	-
Carrying Amount/Deemed Cost	69	2,449

During the year, the Company sold two parcels of land situated at Hyderabad and Luluah, being the only assets held at the said locations, for an aggregate consideration of Rs 1951 lakh. The Company has identified certain items of Property, Plant and Equipment that are no longer in use and management has decided to dispose of them. These assets have been classified as Held for Sale in accordance with Ind AS 105.

Accordingly, depreciation on these assets has ceased from the date of such classification. The assets are measured at the lower of their carrying amount and fair value less costs to sell.



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

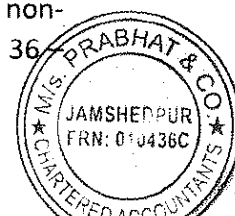
(INR' Lakhs)

Note - 4: INVESTMENTS

Particulars	As at 31st March 2025	As at 31st March 2024
Investment in Equity Instruments:		
Investment in Subsidiary Entities		
(a) Euroasian Ventures FZE 25 Equity shares fully paid of face value AED 1000000 each (on 31st March, 2020: 25 Equity shares fully paid of face value AED 1000000 each)	0.17	0.17
(b) Glitter Agencies Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	-
(c) Jiwanjyoti Vanijya Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	-	-
(d) BK Manaksia Nigeria Limited 39990000 Equity shares fully paid of face value of each (on 31st March, 2020: 39990000 Equity shares fully paid of face value of each)	-	-
(e) BKM Agrotech Private Limited 10000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 10000 Equity shares fully paid of face value of 10 each)	-	-
Total	0.17	0.17
(i) Non-current	0.17	0.17
(ii) Current	-	-
	0.17	0.17
Investments measured:		
(a) At Amortized Cost	0.17	0.17
(b) At Fair Value through Profit & Loss (FVPL)	-	-
(c) At Fair Value through Other Comprehensive Income (FVOCI)	-	-
	0.17	0.17

Note: During F Y 2023-24, the management carried out an assessment of the recoverability and realizable value of investments made in other entities. Based on the evaluation performed, including the financial position and future business prospects of the investee entities, the management is of the opinion that no realizable value is expected from such investments.

Accordingly, the carrying value of these investments had been fully impaired / considered non-recoverable in the financial statements, in accordance with the applicable provisions of Ind AS 36 Impairment of Assets and other relevant accounting standards, wherever applicable.



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

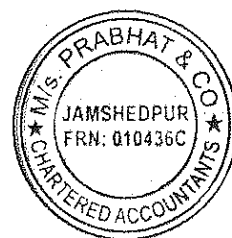
Note - 5: TRADE RECEIVABLES

Particulars	As at 31st March 2025	As at 31st March 2024
Secured, considered good		
(i) Non-Current	-	-
Sub-Total	-	-
(ii) Current		
Gross Trade Receivables	32.39	5.63
Less: Trade Receivable Written off	-	-
Less: Impairment loss/(gain) on financial assets	-	-
Sub-Total	32.39	5.63
Total	32.39	5.63

Trade receivables are non-interest bearing and are generally on terms of 90 to 180 days.

Note - 6: LOANS

Particulars	As at 31st March 2025	As at 31st March 2024
Secured, considered good		
(i) Non Current		
Security Deposits	-	-
Inter-corporate Loans & Deposits	-	-
Deposits with Government Authorities	-	-
Sub-Total	-	-
(ii) Current		
Security Deposit	77.87	-
Inter-corporate Loans & Deposits	0.90	-
Sub-Total	78.77	-
Total	78.77	-



Note - 7: OTHER FINANCIAL ASSETS

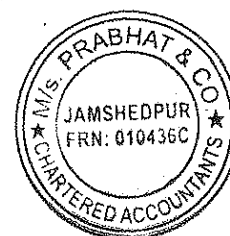
Particulars	As at 31st March 2025	As at 31st March 2024
(i) Non-Current		
Other bank balances	-	-
Sub-Total	-	-
Other financial assets		
(a) Application money paid towards subscription of sec	-	-
(b) Others	-	-
Sub-Total	-	-
Total	-	-
(ii) Current		
Other bank balances	-	-
Sub-Total	-	-
Other financial assets		
(a) Derivative Financial Asset	-	-
(b) Others	-	-
Sub-Total	-	-
Total	-	-

***Details of other balances with banks.**

Particulars	As at 31st March 2025	As at 31st March 2024
*Earmarked Balances with Banks	-	-
Term Deposits with Bank	-	-
Margin money, guarantee and security with banks	-	-
Total	-	-

Note - 8: DEFERRED TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2025	As at 31st March 2024
Property, Plant and Equipment	1.82	21.94
Intangible Assets	-	-
Employee Benefit Obligation	-	-
MAT Credit Entitlement	-	-
Impairment loss/(gain) on financial assets	-	-
Total	1.82	21.94



Note - 9: OTHER NON-CURRENT ASSETS

Particulars	As at 31st March 2025	As at 31st March 2024
(i) Non-Current		
Capital Advance		
Fixed Deposit	-	-
Balances with Government Authorities	-	-
Prepaid Lease Rentals	-	-
Other Loans & Advances		
Sub-Total	-	-
(ii) Current		
Capital Advance	-	-
Security Deposit	-	-
Balances with Government Authorities	3.41	-
Other Loans & Advances	220.54	-
Other Current Assets	1.80	-
Prepaid Expenses	0.17	-
Sub-Total	225.92	-
Total	225.92	-

Note - 10: INVENTORIES

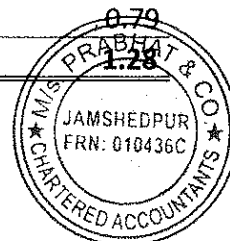
Particulars	As at 31st March 2025	As at 31st March 2024
(a) Raw Materials	-	-
(b) Work-in-Process	-	1.08
(c) Finished Goods	-	-
(d) Stores & Spares	-	-
(e) Stock in Transit	-	-
(f) Scraps	-	-
Total	-	1.08

Note - 11: CASH AND CASH EQUIVALENTS

Particulars	As at 31st March 2025	As at 31st March 2024
Balances with banks		
(i) Cash at bank	-	-
(ii) Cash at PNB	13.41	4.57
(iii) Cash on hand	0.72	-
(iv) Cheques on hand	-	-
Sub Total	14.13	4.57
Less : Amount grouped under other bank balances		
Total	14.13	4.57

Note - 12: CURRENT TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2025	As at 31st March 2024
Interest Receivable	-	0.48
TDS	13.41	0.79
Total	13.41	1.28



BKM INDUSTRIES LIMITED
2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 13: SHARE CAPITAL

Particulars	As at 31st March 2024	As at 31st March 2023
Equity Share Capital		
a) Authorised		
75000000 (on 31st March, 2023: 750000000)	750.00	750.00
Equity Shares of Rs.1/- each	<u>750.00</u>	<u>750.00</u>
b) Issued, Subscribed and Paid Up		
Equity Shares:		
4,09,31,515 (on 31st March, 2023: 65534050)	12.35	12.35
Equity Shares of Rs 0.03	<u>12.35</u>	<u>12.35</u>
Total	<u>12.35</u>	<u>12.35</u>

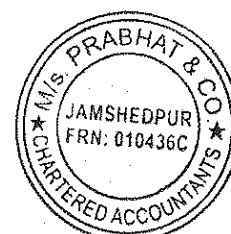
Above figures in bracket pertains to immediately preceding previous period figures.

c) Reconciliation of number of equity shares are set out below:

Particulars	As at 31st March 2024	As at 31st March 2023
i) Shares outstanding at the beginning of the financial year	6,55,34,050	6,55,34,050
ii) Issued during the year		
iii) Shares forfeited/brought back/cancelled during the year	(3,46,52,535)	
iv) Shares outstanding at the end of the financial year	<u>3,08,81,515</u>	<u>6,55,34,050</u>

d) Details of shareholders holding more than 5% of shares

Name of the Shareholders	As at 31st March 2024		As at 31st March 2023	
	% held	No.of Shares	% held	No.of Shares



(a) For reconciliation of number of shares outstanding at the beginning and at the end of the year - [Refer SOCE.]

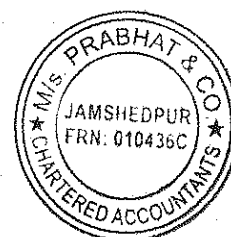
(b) Pursuant to the Scheme of Reduction and Consolidation, the existing 6,55,34,050 equity shares of ₹1 each, comprising 3,46,52,535 equity shares held by the Promoters and 3,08,81,515 equity shares held by the public shareholders, were proposed to be restructured. The Scheme envisaged cancellation of the entire Promoters' shareholding and consolidation of every 25 equity shares of ₹0.04 each held by the public shareholders into 1 equity share of ₹1 each, resulting in 12,35,261 equity shares, with fractional entitlements to be dealt with through the BKM Industries Shareholders Trust in accordance with the Scheme.

During the year, the Company became aware that 1,00,50,000 equity shares earlier classified under the Promoter category and pledged with ICICI Bank Limited had, upon invocation of the pledge, been reclassified as Public shareholding. Consequently, the Promoters' shareholding reduced to 2,46,02,535 equity shares, while the Public shareholding increased to 4,09,31,515 equity shares. Although the reclassification is consistent with the Scheme's objective of reducing the Promoters' shareholding to nil, the increased public shareholding would result in consolidated shares exceeding the 12,35,261 shares approved by the Hon'ble Tribunal. The Company's application seeking modification of the Scheme was rejected by the Hon'ble Tribunal on 27 March 2025, and the Company is in the process of filing a fresh application for the necessary approval.

(c) The company has changed its name from Manaksia Industries Limited to BKM Industries Limited with effect from 16th of October, 2017.

Note - 14: OTHER EQUITY

Particulars	As at 31st March 2024	As at 31st March 2023
a. Capital Reserve		
Opening Balance	-	5.00
Less: Transferred to Retained Earnings	-	-5.00
Sub Total	-	-
b. Securities Premium		
Opening Balance	-	4,171.20
Add: Additions during the year	-	-
Less: Pursuant to CIRP Adjustment	-	-4,171.20
Sub Total	-	-
c. General Reserves		
Opening Balance	-	6,169.59
Add: Addition during the year	-	-
Less: Pursuant to CIRP Adjustment	-	-6,169.59
Sub Total	-	-
d. Revaluation Surplus		
Opening Balance	-	1,460.00
Add: Net fair value gain/(loss) on revaluation of Property, Plant and Equipment during the period	-	-
Less: Pursuant to CIRP Adjustment	-	-1,460.00
Sub Total	-	-



e. Retained Earnings

Opening Balance	-149.78	-11,257.62
Add: Profit/(Loss) during the year	-556.70	-204.78
Add: Re-measurement of defined employee benefit plans through OCI Net of Tax	-	-
Add: Net fair value gain/(loss) on investments during the period	-	-
Less: Impairment loss on financial assets	-	-
Add: Restatement of Property, Plant & Equipment Depreciation on Capital Stores	-	-
Add: Grant on Re-measurement of interest Free Loan	-	-
Less: Unrecognized Interest on Interest Free Loan	-	-
Less: Other Adjustments- Deferred Tax Adjustment	21.55	
Less: Pursuant to CIRP Adjustment	-	11,312.61
Sub Total	-684.93	-149.78

f. Application Money Received Pending Allotment

*Share Application Money Received	200.00	-
**Debenture Application Money Received	300.00	-
	500.00	-
Total	-184.93	-149.78

*During the year, the Company received ₹2,00,00,000 from Anantech Infrastructure Private Limited towards subscription to 2,00,00,000 equity shares of ₹1 each, pursuant to the Resolution Plan approved by the Hon'ble National Company Law Tribunal (NCLT), Kolkata Bench.

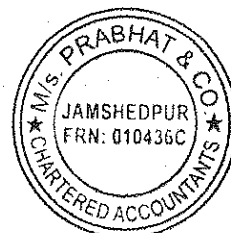
Subsequent to the year-end, the Company filed an application before the Hon'ble NCLT seeking modification of the approved Resolution Plan. The outcome of the application is presently pending. In the event the proposed modification is not approved by the Hon'ble NCLT, the Company may be required to refund the share application money to Anantech Infrastructure Private Limited.

The management is of the view that the accounting treatment adopted in respect of the share application money is appropriate as at 31 March 2025, pending the final outcome of the application before the Hon'ble NCLT.

**During the year, the Company received ₹3,00,00,000 from Anantech Infrastructure Private Limited towards subscription to 12% Compulsorily Convertible Debenture.

If the Company fails to allot the 12% Compulsorily Convertible Debenture within the stipulated period, it shall be required to refund the entire subscription amount received from Anantech Infrastructure Private Limited.

The management is of the view that the accounting treatment adopted in respect of the 12% Fully Compulsorily Convertible Debenture is appropriate as at 31 March 2025



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

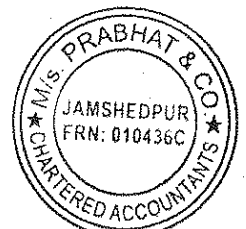
(INR' Lakhs)

Note - 15: BORROWINGS

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
(i) Non-Current Borrowings		
Secured Loan		
(a) Term Loan From Banks & Financial Institutions	-	-
(b) Term Loan From others	-	-
Unsecured Loan		
(a) Loans from Bank	-	-
(b) Loans from Others	-	-
(c) Deferred Sales Tax Liability	-	-
Total non-current borrowings	-	-
(ii) Current Borrowings		
Secured Loan		
From Banks		
(a) Term Loan From Banks & Financial Institutions	-	-
(b) Buyers Credit	-	-
Unsecured Loan		
From Others	1,280.30	-
Total current borrowings	1,280.30	-

Note - 16: TRADE PAYABLES

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
i. Non-Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-
Sub-Total	-	-
ii. Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small	-	-
Sub-Total	-	-
Grand Total	-	-



Note - 17: OTHER FINANCIAL LIABILITIES

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
i. Non-Current		
Security Deposits From Consignment Agency	-	-
Sub-Total	-	-
ii. Current		
Current Maturity of Long term debt	-	2,550.14
Interest Accrued but not Due	-	-
EMD money received from RA	-	364.00
Others	-	18.63
	-	2,932.76
Total	-	2,932.76

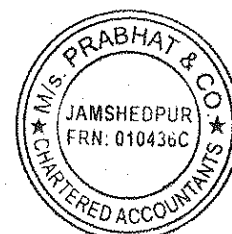
Note:- Pursuant to the Resolution Plan approved by the National Company Law Tribunal ("NCLT") vide order dated 19 September 2023, the repayment obligations under the term loans from banks were serviced during FY 2024-25 in accordance with the terms and conditions stipulated under the approved Resolution Plan.

Note - 18: OTHER CURRENT LIABILITIES

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
i. Non-current		
(i) Leasehold building liability	-	-
Total	-	-
ii. Current		
(i) Statutory Dues Payable	1.80	7.35
(ii) Workmen Employee	8.72	176.49
(iii) Unpaid Dividend Account	-	-
(iv) COC	-	-
(v) EMD money received from RA	-	-
(vi) Operational Creditor	0.24	-
(vii) Advance Received against sale of PPE	-	251.00
(viii) Others	11.44	-
Total	22.20	434.84

Note - 19: PROVISIONS

Particulars	As at 31st Mar 2025	As at 31st Mar 2024
(i) Provision for Employee Benefits	-	-
(ii) Provision for Gratuity	-	-
Total	-	-
(i) Non Current	-	-
(ii) Current	-	-
Total	-	-



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India, 700013

(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 20: REVENUE FROM OPERATIONS

Particulars	31st March 2025	31st March 2024
Sale of Products	6.10	92.53
Sale of Services	-	-
Other Operating Revenue	-	-
Total	6.10	92.53

Sale of Products :

Gross Sale of Products	6.10	92.53
Less: Discounts	-	-
Less : Goods & Services Tax	-	-

Net Sale of Products	6.10	92.53
-----------------------------	-------------	--------------

*During the financial year ended 31.03.2025, the manufacturing activities of the Company remained non-operational. Accordingly, no production activities were carried out during the year.

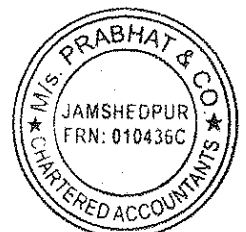
The revenue recognized during the year represents proceeds from the sale of existing inventories available with the Company. No revenue was generated from fresh manufacturing activities during the year under review.

Note - 21: OTHER INCOME

Particulars	31st March 2025	31st March 2024
Interest Income :		
Interest Income From Financial Assets measured at Amortized Costs	3.19	-
Dividend Income :		
Dividend Income From Financial Assets Measured at Amortized Costs	-	-
Dividend Income From Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-
Other Items :		
Rental Incomes	-	-
Export Incentives and Benefits	-	-
Unwinding of Interest on Security Deposits	-	-
Interest on Income Tax Refund	-	3.25
Interest Received on FD	5.90	6.80
Total	9.09	10.05

Note - 22: OTHER GAINS/ (LOSSES)

Particulars	31st March 2025	31st March 2024
Net gain/(losses) on disposal of Property, Plant & Equipment		3.80
Other Items	5.42	
Total	5.42	3.80



BKM INDUSTRIES LIMITED

2A, Ganesh chandra Avenue, 2nd Floor, Room no - 11, Kolkata, West Bengal, India,
700013

(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 23: CHANGES IN INVENTORIES

Particulars	31st March 2025	31st March 2024
Opening Stock		
Finished Goods	-	6.55
Semi-Finished Goods	1.08	10.48
Scrap Material	-	15.80
Sub-Total	1.08	32.83
Less:- Closing Stock		
Finished Goods	-	-
Semi-Finished Goods	-	1.08
Scrap Material	-	-
Sub-Total	-	1.08
INCREASE(-)/DECREASE(+)	1.08	31.75

Note - 24: OPERATING AND MANUFACTURING EXPENSES

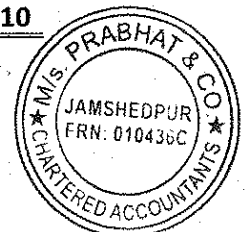
Particulars	31st March 2025	31st March 2024
Consumption of Stores and Consumables	-	-
Power and Fuel	7.02	-
Processing Charges	-	-
Cleaning Charges	-	-
Carriage Inward	-	-
Other Manufacturing Expenses	-	-
Total	7.02	-

Note -25: EMPLOYEE BENEFIT EXPENSES

Particulars	31st March 2025	31st March 2024
Salaries, Wages & Bonus	19.91	-
Contribution to Provident and other Funds	-	-
Workmen & Staff welfare Expenses	0.70	-
Total	20.61	-

Note -26: FINANCE COST

Particulars	31st March 2025	31st March 2024
Interest on Borrowings:		
On Fixed Loans	19.95	-
On Others *	0.33	0.10
Interest on finance lease obligations	-	-
Total	20.28	0.10

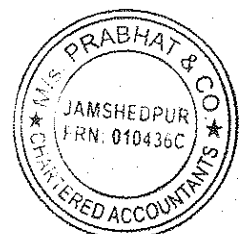


Note -27: OTHER EXPENSES

Particulars	31st March 2025	31st March 2024
Auditors Remuneration (Note 28)	1.65	0.80
Bank Commission and Banking Administration Charges	-	-
CIRP cost	56.49	61.37
Communication Expenses	-	-
Depository Charges	8.48	-
Donation	-	-
Filing Fee	0.30	-
Freight Forwarding & Handling Expenses	-	-
Impairment (loss)/gain on financial assets	-	-
Insurance	0.20	-
Late Fees and Penalties and Interest	0.02	-
Lease Rent	-	4.35
Listing Fee	20.17	-
Miscellaneous Expenses	3.91	4.73
Packing Expenses	-	-
Professional & Legal Fee	25.83	29.35
Publishing Fee	0.62	-
Rates and related Taxes	11.07	-
Rental Charges other than lease	-	-
Repairs & Renewals:		
Plant & Machinery	-	-
Building	-	-
Others	-	-
Travelling Conveyance	21.46	-
Security Services Charges	38.66	27.87
Net losses on Sale of Property, Plant & Equipment	219.21	-
	408.06	128.46

Note - 28 DETAILS OF PAYMENT TO AUDITORS

Particulars	31st March 2025	31st March 2024
As Auditors		
Audit Fees	1.65	0.80
Tax Audit Fee	-	-
	1.65	0.80



Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 29: CONTINGENT LIABILITY

Particulars	31st March 2025	31st March 2024
i) Guarantees given by Company's Bankers on behalf of the Company:		
a) Guarantees issued in favour of electricity department and other agencies.		
ii) Claims against the Company not acknowledged as debts:		
a) Service Tax		
b) Excise Duty demand under appeal		
c) Entry Tax		
d) Others	0.48	0.40
iii) Corporate Guarantees given by Company.		
Total	0.48	0.40

* Pursuant to the approval of the Resolution Plan by the Hon'ble NCLT on 19 September 2023 under the Insolvency and Bankruptcy Code, 2016, all claims, liabilities and statutory dues not included in the Approved Resolution Plan stand extinguished. No proceedings in respect of such claims or dues, including those owed to the Central or State Governments or local authorities, may be initiated or continued, in line with the judgment of the Hon'ble Supreme Court in Ghanashyam Mishra & Sons Pvt. Ltd. vs Edelweiss Asset Reconstruction Co. Ltd.

Note - 30: RELATED PARTY DISCLOSURE AS PER IND AS 24

(i) List of Related parties:

(a) Associates and Joint Arrangements:

The company do not have any associates and joint arrangements.

(b) Subsidiaries:

Name	Country	Acquired in Financial Year	% of Holding
(i) Euroasian Ventures FZE	UAE	2011-12	100%

(c) Key Managerial Personnel:

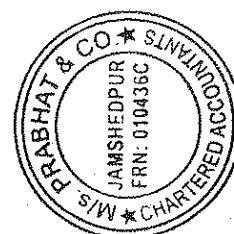
Name	Designation
Mr. Rahul Tikmani	Director
Mr. Jitendra Agarwal	Director
Mr. Kishan Kejriwal	Chief Financial Officer (CFO)
Mr. Aditya Fogla	Company Secretary (CS)
Mr. Amit Singh	Whole-Time Director
Mr Dayaan Habib Farooqui	Whole-Time Director

(d) Close Family members of Key Managerial Personnel:

Name	Relationships
NIL	

(e) Entities where Key Managerial Personnel has significant influence:

Name	Relationships
Uniglobal Papers Private Limited	Entity where KMP has significant influence
Anantech Infrastructure Private Limited	Holding Company



(II) Balances and Transactions with Related Parties:

Name of the Parties	Nature of Transactions	Net Transaction During the Period	
		31st March 2025	31st March 2024
Uniglobal Papers Private Limited	Sale of PPE	8.28	-
Uniglobal Papers Private Limited	Repayment of Loan Liability	298.71	-

Name	Nature of Balance	Balances outstanding as on	
		31st March 2025	31st March 2024
(a) Investments in Equity Shares:			
(i) Euroasian Ventures FZE	Investments in Subsidiary	0.17	0.17
(ii) Glitter Agencies Private Limited	Investments in Subsidiary	-	-
(iii) Jiwanjyoti Vanijya Private Limited	Investments in Subsidiary	-	-
(iv) BK Manaksia Nigeria Limited	Investments in Subsidiary	-	-
(v) BKM Agrotech Private Limited	Investments in Subsidiary	-	-
(b) Inter-corporate Loans and Deposits:			
(i) Uniglobal papers Private Limited	Loan Liability	16.29	-

a. Transactions have taken place on arm's length basis.

b. No amount in respect of debts pertaining to the related parties have been written off or written back during the year.

c. No provision for doubtful debts is required to be made for the year in respect of debt due from related parties.

Note - 31: RECOGNITION OF CORPORATE GUARANTEE AS FINANCIAL LIABILITY

Financial guarantee are contractual right of the lender to receive cash from the guarantor, and a corresponding contractual obligation of the guarantor to pay the lender, if the borrower defaults. The contractual right and obligation exist because of a past transaction or event (assumption of the guarantee), even though the lender's ability to exercise its right and the requirement for the guarantor to perform under its obligation are both contingent on a future act of default by the borrower. A contingent right and obligation meet the definition of a financial asset and a financial liability, even though such assets and liabilities are not always recognised in the financial statements. Based on the measurement principles laid down under Ind AS 109 "Financial Instrument: Recognition and Measurement", the fair value of all those financial guarantee contracts reasonable below to the materiality threshold limit set by the company.

Note - 32: MICRO, SMALL AND MEDIUM (MSME) DUES DISCLOSURE

Disclosure of payables to MSME vendors as defined under the "Micro, Small and Medium Enterprise Development Act, 2006" is based on the information available with the company regarding the status of registration of such vendors under the said Act, as per the information received from them on requests made by the company.

There are no Micro, Small and Medium Enterprises (MSME) to whom the Company owes dues which are outstanding for a period of more than 45 days as at the balance sheet date. The above information and that given under current liabilities regarding Micro, Small and Medium Enterprises has been determined to the extent such parties have been identified on the basis of information

